LASACO ASSURANCE PLC
UN AUDITED FINANCIAL STATEMENTS
FOR THE PERIOD ENDED
30 SEPTEMBER 2026

LASACO ASSURANCE PLC

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Corporate Information

Directors	Mr. Babatunde Dabiri	Chairman
	Mr. Ademoye Shobo	Managing Director/CEO
	Mr. Abiodun Dosunmu	Non -executive Director
	Mr. Yemi Adefarakan	Non-exceutive Director
	Mr. Fola Tinubu	Non-exceutive Director
	Mr. Ademola Oshodi	Non -executive Director
	Mr. Tobiloba Lawal	Non -executive Director
	Ms. Omolola Bolusire	Independent Director
Company Secretary	Mrs. Gertrude Olutekunbi Plot 16, ACME Road Ogba Industrial Estate Ikeja Lagos State.	
Registered Office	LASACO House Plot 16, ACME Road Ogba Industrial Estate Ikeja Lagos State.	
Registration Number	31126	
Tax Identification Numbe	02306657-0001	
Corporate Head Office	LASACO House Plot 16, ACME Road Ogba Industrial Estate Ikeja Lagos State. Tel: (234) 01 – 2120557 E-mail: info@lasacoassurance.com Website: www.lasacoassurance.com	
Registrars	**APEL Capital & Trust Limited** 8, Alhaji Bashorun Street Off Norman Williams Crescent, South West, Ikoyi Lagos Telephone: 01- 873928, 7401444-5 Mobile No: 07046126698	
Bankers	Guaranty Trust Bank Limited First Bank of Nigeria Limited Ecobank Nigeria Limited Zenith Bank Nigeria Plc United Bank for Africa Plc Polaris Bank Limited Sterling Bank Plc	

Corporate Information (Cont'd)

Auditor	**BDO Professional Services** (Chartered Accountants) ADOL House, 15 CIPM Avenue Central Business District Alausa, Ikeja, Lagos. P.O.Box 4929,GPO, Marina Lagos. www.bdo-ng.com
Actuary	**Becoda Consulting Ltd** 7 Ibiyinka Lorunbe close Victoria Island Lagos Nigeria
Estate Valuers	**Oletubo & Co Estate Surveyors & Valuers** 9, Arapasanwu Street, off oluwaloimu Off Amore Street, Toyin Street, Ikeja **Fola Oyekan & Associates Estate Surveyors & Valuers** 13, Ogunlana Drive , Surulere, Lagos
Solicitors	**Obioha Jude Idigbe & Co** 10 Marina Onikan Lagos. **Lawrence Osayemi & Co** 38/40 Orlando Martins Street Off Igbosere Road Lagos. **Abdulkareem & Abdulkareem** 7 Gray Street Behind Yaba Chief Magistrate Court Yaba Lagos.
Reinsurers	African Reinsurers Corporation Continental Reinsurance Corporation SWISS Reinsurance Company WAICA Reinsurance Pool
Our Vision	To be a market leader in Insurance and Financial Services in Nigeria, creating and sustaining an exceptional brand and providing long term value to our Stakeholders.

Corporate Information (Cont'd)

Our Mission

We are committed to be the Insurance and Financial Services Company of choice in Nigeria, providing Products and Services of Superior Quality, using modern tools and a well motivated workforce to create long term value for all our Stakeholders.

Core Values

Excellence
Professionalism
Integrity
Customer Focus
Trust
Accountability
Creativity
Teamwork

Quality Policy Statement

LASACO Assurance Plc is committed to delivering Insurance and Financial Services Of Superior Quality, surpassing customers expectations and ensuring strict compliance with regulatory/statutory requirements.

We are committed to continually improving the effectiveness of our Quality Management System.

We establish measurable goals and objectives at Departmental levels which we review as the need arises ensuring timely, effective implementation of Company strategy.

RESULTS AT A GLANCE

	2026	2025	Changes	
Statement of Financial Position	**₦'000**	**₦'000**	**₦'000**	**%**
Total assets	61,225,587	39,239,571	21,986,016	56
Total liabilities	21,519,721	19,734,253	1,785,468	9
Shareholders' funds	39,705,866	20,496,225	19,209,641	94
Income Statement	**₦'000**	**₦'000**	**₦'000**	**%**
Insurance revenue	23,806,720	22,956,224	850,496	4
Insurance service expenses	(15,448,261)	(20,006,889)	(4,558,628)	(23)
Net expenses from reinsurance contract held	(2,515,545)	(5,384,989)	(2,869,444)	(53)
Insurance service results	5,842,914	(2,435,654)	8,278,568	340
Net Investment results	2,474,249	2,715,165	(240,916)	(9)
Net insurance and investment results	7,868,477	43,527	7,824,950	17,977
Profit before tax	1,602,498	(4,716,871)	6,319,369	134

LASACO ASSURANCE PLC

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Shareholding Structure/Free Float Status

Description	30-Sep-26		31-Dec-25	
	Unit	Percentage	Unit	Percentage
Issued Share Capital	20,319,907,401	100%	11,083,585,855	100%
Substantial Shareholdings (5% and above)				
Ibile Holdings Ltd	10,363,152,774	51.00%	5,090,281,191	45.93%
Canon Properties & Investments Ltd	7,357,972,748	36.21%	2,732,941,184	24.66%
DE-LEXUS INVESTMENT LIMITED	0	0.00%	875,000,000	7.89%
Total Substantial Shareholdings	**17,721,125,522**	**87.21%**	**8,698,222,375**	**78.48%**
Directors' Shareholdings (direct and indirect), excluding directors with substantial interests				
Mr. Tobi Lawal (representing Ibile Holdings Ltd)	--	--	--	--
Mr. Fola Tinubu (representing Canon Properties & Investment Ltd)	-	-	-	-
Mr. Yemi Adefarakan	-	0.00%	-	0.00%
Mr. Abiodun Dosunmu	-	0.00%	-	0.00%
Mr. Babatunde Dabiri	-	-	-	-
Mr. Ademoye Shobo (Direct)	2,133,623	0.01%	156,949	0.00%
Total Directors' Shareholdings	**2,133,623**	**0.01%**	**156,949**	**0.00%**
Other Influential Shareholdings				

Free Float in Units and Percentage	**2,596,648,256**	**12.78%**	**2,385,206,531**	**21.52%**
Free Float in Value	₦ 5,271,195,959.68		₦ 5,843,756,000.95	

Declaration:

LASACO Assurance Plc with a free float percentage of 12.78% as at 30th September 2026, is on the way to complying with The Exchange's free float requirements for companies listed on the Main Board.

UN AUDITED FINANCIAL STATEMENTS, 30 SEPTEMBER 2026

STATEMENT OF CORPORATE RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

Further to the provisions of section 405 of the Companies and Allied Matters Act (CAMA), 2020, we, the Managing Director/CEO and Chief Financial Officer, hereby certify the financial statements of Lasaco Assurance Plc for the period ended 30 September 2026 as follows:

(a) That we have reviewed the unaudited financial statements of the Company for the year period 30 September 2026.

(b) That the unaudited financial statements do not contain any untrue statement of material fact or omit to state a material fact which would make the statements misleading, in the light of the circumstances under which such statement was made.

(c) That the unaudited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the Company as of and for, the year ended 30 September 2026.

(d) That we are responsible for establishing and maintaining internal controls and have designed such internal controls to ensure that material information relating to the Company is made known to the officer by other officers of the company, during the period ended 30 September 2026.

(e) That we have evaluated the effectiveness of the Company's internal controls within 90 days prior to the date of audited financial statements, and certify that the Company's internal controls are effective as of that date.

(f) That there were no significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective action with regard to significant deficiencies and material weaknesses.

(g) That we have disclosed the following information to the Group and Company's Auditors and Audit Committee:

(i)There is no fraud that involves management or other employees who have a significant role in the Company's internal control.

(ii)There are no significant deficiencies in the design or operation of internal controls which could adversely affect the Company's ability to record, process, summarise, and report financial data, and have identified for the Company's auditors any material weaknesses in internal controls.



Mr. Ademoye Shobo
Managing Director/CEO
FRC/2026/PRO/DIR/003/017154



Olubukola Moradeyo
Chief Finance Officer
FRC/2021/PRO/00000024062

In my capacity as Company Secretary, I hereby certify, in terms of the Companies and Allied Matters Act, 2020, that for the period ended 30 September 2026, the Company has lodged all such returns as are required of a Company in terms of this Act, and that all such returns are, to the best of my knowledge and belief, true, correct and up to date.



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Gertude Olutekunbi (Mrs.)
Company Secretary
FRC/2015/NBA/00000011389

Lagos, Nigeria

LASACO ASSURANCE PLC
UN AUDITED FINANCIAL STATEMENTS, 30 SEPTEMBER 2026
CERTIFICATION PURSUANT TO SECTION 60(2) OF INVESTMENT AND SECURITIES ACT NO. 29 OF 2007

We the undersigned hereby certify the following with regards to our Audited Financial Statements for the period ended 30 September 2026 that:

- We have reviewed the report;
- To the best of our knowledge, the report does not contain:
  - Any untrue statement of a material fact, or
  - Omit to state a material fact, which would make the statements, misleading in the light of circumstances under which such statements were made;
- To the best of our knowledge, the financial statements and other financial information included in the report fairly present in all material respects the financial condition and results of operations of the Company as of, and for the year presented in the report.
- We:
  - Are responsible for establishing and maintaining internal controls.
  - Have designed such internal controls to ensure that material information relating to the Company is made known to such officers by others within those entries particularly during the year in which the periodic reports are being prepared;
  - Have evaluated the effectiveness of the Company's internal controls as of date within 90 days prior to the report;
  - Have presented in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date;
- We have disclosed to the auditors of the Company and audit committee:
  - All significant deficiency in the design or operation of internal controls which would adversely affect the Company's ability to record, process, summarise and report financial data and have identified for the Company's auditor any material weakness in internal controls, and
  - Any fraud, whether or not material, that involves management or other employees who have significant role in the Company's internal controls;
- We have identified in the report whether or not there were significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation,including any corrective actions with regard to significant deficiencies and material weaknesses.



Mr. Ademoye Shobo
Managing Director/CEO
FRC/2026/PRO/DIR/003/017154



Olubukola Moradeyo
Chief Finance Officer
FRC/2021/PRO/00000024062

In accordance with the general requirements of the Nigerian Code of Corporate Governance 2018 (NCCG Code) and the Securities and Exchange Commission Corporate Governance Guideline (SCGG), we hereby highlight those key principles and practices that form the basis of the high standards of corporate conduct for which LASACO is known for.

At LASACO, we conduct our business activities in accordance with the highest degree of ethical standards of good governance, integrity and in full compliance with the law, while taking into account the interest of stakeholders. We reach out to our employees, business partners, associates and stakeholders at large to secure their commitment and participation in upholding high standards of conduct in the performance of their duties.

The Board of Directors are responsible for setting, reviewing and guiding corporate strategy, major plans of action, risk policy, annual budgets and business plans; setting performance objectives, monitoring implementation and management performance; and overseeing major capital expenditures, acquisitions and investments. In order to fulfill their responsibilities, we ensure that Board members have access to accurate, relevant and timely information and that Board Members devote sufficient time to their responsibilities and duties.

We have completed and submitted the new Financial Reporting Council Template for reporting compliance with Nigerian Code of Corporate Governance 2018 and uploaded it on the NGX Issuers portal.

The Matters Reserved For the Board

The Board of Directors' major performance enhancing and direction-setting responsibilities include the following matters:

i Strategy formulation, policy thrust and Management policies
ii Integrity of financial controls and reports
iii Risk assessment and internal controls
iv Board and top executive appointments
v Creating and sustaining appropriate relationships with all stakeholders
vi Selection, Performance Appraisal and Remuneration of Executive Directors
vii Succession Planning
viii Corporate Responsibility through the approval of relevant policies
ix Approves and reviews the matters reserved for the Board and the terms of reference for Board
x Determines the remuneration for Non-Executive Directors
xi Sets the procedure for determining the remuneration of the company's Independent Auditors
xii Nominates members of the Board committees and determines the scope of delegated
xiii Develops and enforces a code of conduct for Non-executive Directors and a binding Statement
xiv Ensures compliance with all relevant laws and regulations by the Company and its officers.

The Board was made up of Five Non-executive Directors, One being Independent Director and Three Executive Directors. At LASACO, the position of the Chairman is separate and distinct from that of the Managing Director/Chief Executive Officer. The Chairman is a Non-executive Director.

COMMITTEES OF THE BOARD

The Board performs its various duties and responsibilities through Four (4) Committees: the Finance, General Purposes and Investment Committee, the Establishment and Corporate Governance Committee, the Audit, Risk Management and Compliance Committee and the Statutory Shareholders' Audit Committee. All Board Committees make recommendations for consideration and approval by the full Board.

At the management level, a Management Committee presided over by the Managing Director/Chief Executive Officer and comprising All the Senior Management Staff meet regularly.

1) **FINANCE, GENERAL PURPOSES AND INVESTMENT COMMITTEE**

The Committee was chaired by a Non-executive Director and made up of Six other Non-executive Directors and the Managing Director for a total membership of seven (7) members.

The following are the key terms of reference of the Finance and Investment Committee:

a) To review the Company's operational standards and performance.
b) To oversee financial reporting, policies and processes as well as compliance level.
c) To oversee internal controls and compliance within the company.
d) To oversee capital and operating expenditures, specific projects and their financing within the overall Business Plan and Budget approved by the Board.
e) To ensure that there are no conflicts of interest by Directors and Top Managers in the Company in the conduct of business.
f) To proffer suggestions on optimal use of the Company's resources.

Membership

- Mr Tobiloba Lawal - Chairman
- Mr Ademola Oshodi - Member
- Mr Fola Tinubu - Member
- Mr Yemi Adefarakan - Member
- Mr. Abiodun Dosunmu - Member
- Ms. Omolola Bolusire - Member
- Mr. Ademoye Shobo - Managing Director/CEO

2. THE BOARD NOMINATION, REMUNERATION AND CORPORATE GOVERNANCE COMMITTEE

The Board Nomination, Remuneration, and Governance Committee consist of Six Non-executive Directors, one of whom chaired the Committee and were joined by the Managing Director.

The Terms of reference of the Board Nomination, Remuneration, and Governance Committee are as follows:

a) To define the criteria and the procedure for the appointments and promotion of key officers of the company from manager cadres and above.
b) To oversee proper administration of the Board approved Performance based Appraisal and Remuneration System.
c) To review from time to time the organizational structure and succession planning proposals of the group and make appropriate recommendations to the full Board
d) Oversees the implementation of Board approved Performance Goals and objectives for the Executive Directors and Top Management.

Membership

- Mr Ademola Oshodi — Chairman
- Mr Tobiloba Lawal — Member
- Mr Fola Tinubu — Member
- Mr Yemi Adefarakan — Member
- Mr Abiodun Dosunmu — Member
- Ms. Omolola Bolusire — Member
- Mr. Ademoye Shobo — Managing Director/CEO

3 AUDIT, RISK MANAGEMENT AND COMPLIANCE COMMITTEE

The Audit, Risk Management and Compliance Committee was made up of Six **N**on-Executive Directors, were joined by the Managing Director.

The Terms of reference of the Audit, Risk Management and Compliance Committee are as follows:

a) The Committee shall be responsible for the review of the integrity of the data and information provided in the Audit and/or Financial Reports.

b) To provide oversight functions with regards to both the company's financial with regard to both the company's financial statement and its internal control and risk management functions.

c) To review the terms of engagement and recommend the appointment or reappointment and compensation of External Auditors to the Board and the Shareholders.

Membership

- Mr Abiodun Dosunmu - Chairman
- Mr Ademola Oshodi - Member
- Mr Tobiloba Lawal - Member
- Mr Fola Tinubu - Member
- Mr Yemi Adefarakan - Member
- Ms. Omolola Bolusire Member
- Mr. Ademoye Shobo - Managing Director/CEO

4. THE STATUTORY SHAREHOLDERS' AUDIT COMMITTEE

The Statutory Shareholders Audit Committee was made up of **five(5)** members comprising two representatives of the shareholders who were re-elected at the 2025 Annual General Meeting held on 3rd September, 2026 for a period of one year till the conclusion of the 2026 Annual General Meeting; and two representatives of the Board of Directors nominated by the Board.

The Chairman of the Audit Committee for 2026 was Mr. Matthew Akinlade, FCA, a Shareholders' representative. The meetings of the Committee were attended by the Company's Internal Audit representatives represented by BDO Professional Services, the Company's Independent External Auditors. The Company Secretary is the Secretary of the Committee.

- Mr. Matthew Akinlade — **Shareholders representatives**
- Mr. Samuel Olagoke — Shareholder's representatives
- Mrs. Adenike Olatokunbo — Shareholder's representatives
- Mr. Tobi Lawal — Director's representatives
- Mr. Abiodun Dosunmu — Director's representatives

The Terms of Reference of the Committee

The following were the terms of reference of the Committee as provided in section 359(6) of the Companies and Allied Matters Act CAP C20 laws of the Federation of Nigeria, 2004:

a) Ascertain whether the accounting and reporting policies of the Company are in accordance with legal requirements and agreed ethical practices;

b) Review the scope of planning of audit requirements.
c) Review the findings on management matters in conjunction with the External Auditors and departmental responses thereon;
d) Keep under review the effectiveness of the Company's system of accounting and internal control.
e) Make recommendations to the Board with regard to the appointment, removal and remuneration of the External Auditors of the Company.

f) Authorize the internal auditor to carry out investigation into activities of the Company which may be of interest or concern to the committee.

POLICIES UPLOADED ON THE WEBSITE INLINE WITH THE NIGERIAN CODE OF CORPORATE GOVERNANCE 2018

1. WHISTLE BLOWING
2. SECURITY TRADING
3. SHAREHOLDERS ENGEGEMENT
4. STAKEHOLDERS MANAGEMENT

The following are the significant accounting policies adopted by the Company in the preparation of these financial statements. These accounting policies have been consistently applied for all years presented.

1.0 **General Information**

(a) LASACO Assurance Plc ("LASACO" or ''the Company") is a public limited liability Company domiciled in Nigeria. The Company's registered and Corporate Office is Plot 16, ACME Road, Ogba Industrial Estate,Ikeja Lagos.

The Company was incorporated on 20 December 1979 under the Company Decree of 1968. The Company then, known as Lagos State Assurance Company Limited obtained license as an insurer on 7 July 1980 and commenced business on 1 August 1980. It became a public limited liability Company in 1991 when the Company's shares were listed on the Nigerian Stock Exchange. The Company secured a life insurance business license from National Insurance Commission (NAICOM) in 2007. The Company then separated the life business and transferred the related assets and liabilities to its subsidiary, LASACO Life Assurance Company Limited . On 1 January 2009 LASACO Life Assurance Co. Ltd commenced business. The Company operates from its corporate office in Lagos and whilst it maintains branches in major cities of the Federation.

The purpose of the merger is to enable the Company operate as a composite Insurance Company as against the group structure in operation before the merger.

The merger process was concluded on 16 December 2014 with conclusion of the Court Ordered Meeting and final Court approval. This is in line with Section30(1)(b) of the Insurance Act.

All assets and liabilities of LASACO Life Assurance Ltd have been transferred to LASACO Assurance Plc, hence LASACO Life Assurance Co Ltd cease to operate as an Insurance Company and as a subsidiary of LASACO Assurance Plc with effect from 17 December 2014.

(b) **Principal activity**

The Company is principally engaged in the provision of various classes of insurance such as general accident, fire, motor, engineering, marine, bond insurances and life assurance businesses. The Company also transacts insurance business for aviation, oil & gas and other special risks.

These financial statements were authorized by the Board of Directors on 9th July 2026.

1.1 **Summary of Significant Accounting Policies**

The principal accounting policies applied in the preparation of these Financial Statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

1.2 **Going Concern**

These financial statements have been prepared on the going concern basis. The Company has no intention or need to reduce substantially its business operations, the management believes that the going concern assumption is appropriate for the Company due to sufficient capital adequacy ratio and projected liquidity, based on historical experience that short-term obligations will be refinanced in the normal course of the business. Liquidity ratio and continuous evaluation of current ratio of the Company is carried out by the Company to ensure that there are no going concern threats to the operations of the Company.

1.3 **Basis of Preparation and Compliance with International Financial Reporting Standards**

The Group's financial statements for the year ended 31 December 2024 have been prepared in accordance with the International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB), Companies and Allied Matters Act, 2020, Insurance Act CAP I17, LFN 2004 and Prudential Guidelines issued by National insurance Commisson and Investment and Securities Act 2007.

1.3.1 **Foreign currency translation**

(a) **Functional and Presentation Currency**

The financial statements are presented in Nigerian currency (Naira) which is the Company's functional currency. Except otherwise indicated, financial information presented in Naira have been rounded to the nearest thousand (₦ '000)

(b) **Transactions and balances in foreign currencies**

Transactions denominated in foreign currencies are recorded in Naira at the rate of exchange ruling at the date of each transaction. Any gain or loss arising from a change in exchange rates subsequent to the date of the transaction is included in the profit and loss account. Monetary assets and liabilities denominated in foreign currencies at the statement of financial position date are translated at that date. Exchange gains arising from the revaluation of monetary assets and liabilities are recognized in the income statement while those on non-monetary items are recognized in other comprehensive income. For non-monetary financial assets fair value through other comprehensive income, unrealized exchange differences are recorded directly in equity until the asset is disposed or impaired.

1.3.2 **Basis of measurement**

The financial statements are prepared on the historical cost basis except for the following:

- Financial instruments at fair value through profit or loss;
- Financial assets classified as FVOCI which are measured at fair value through other comprehensive
- Financial assets which are measured at amortised costs;
- Land and building (included in property and equipment) which are measured at fair value through other comprehensive income; and
- Investment properties which are measured at fair value.
- Insurance contract which are measured in line with the requirements of IFRS 17

1.4 **Critical Accounting Estimates, Judgments and Assumptions**

The preparation of financial statements in conformity with IFRSs requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Company's accounting policies. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates under different assumptions and conditions. Changes in assumptions may have a significant impact on the financial statements in the period the assumptions changed. Management believes that the underlying assumptions are appropriate and that the Company's financial statements therefore present the financial positions and results fairly. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed.

(i) Business model assessment

For financial assets that are held for the purpose of collecting contractual cash flows, the Company has assessed whether the contractual terms of these assets are solely payments of principal and interest on the principal amount outstanding.

(ii) Allowances for credit losses

Judgment is required by management in the estimation of the amount and timing of future cash flows when determining an impairment loss for debt instruments measured at amortised cost and fair value through other comprehensive income. In estimating these cash flows, the Company makes judgments about the borrower's financial situation and value of other collateral (where applicable). These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

A collective assessment of impairment takes into account data from the debt portfolio (such as credit quality, levels of arrears, credit utilisation, loan to collateral ratios etc.), and concentrations of risk and economic data (including levels of unemployment, changes in foreign exchanges, real estate prices indices, country risk and the performance of different individual groups).

These critical assumptions have been applied consistently to all years presented, except as follows:

The Company applied the impairment requirements under IFRS 9 since 1 January 2018 and no changes to the assumptions used for the calculation for allowance for impairment in 2026 using the expected credit loss model.

(iii) Impairment of financial assets

The Company has applied some judgment in carrying out an assessment of whether credit risk on the financial asset has increased significantly since initial recognition and incorporating forward-looking information in the measurement of Expected Credit Losses (ECL).

The impairment requirements of IFRS 9 apply to all debt instruments that are measured at amortised cost. The determination of impairment loss and allowance moves from the incurred credit loss model whereby credit losses are recognised when a defined loss event occurs under IAS 39, to expected credit loss model under IFRS 9, where expected credit losses are recognised upon initial recognition of the financial asset based on expectation of potential credit losses at the time of initial recognition.

Staged Approach to the determination of Expected Credit Losses

IFRS 9 outlines a three-stage model for impairment based on changes in credit quality since initial recognition. These stages are as outlined below:

Stage 1 The Company recognises a credit loss allowance at an amount equal to the 12 month expected credit losses. This represents the portion of lifetime expected credit losses from default events that are expected within 12 months of the reporting date, assuming that credit risk has not increased significantly after the initial recognition.

Stage 2 The Company recognises a credit loss allowance at an amount equal to the lifetime expected credit losses (LTECL) for those financial assets that are considered to have experienced a significant increase in credit risk since initial recognition. This requires the computation of ECL based on Lifetime probabilities of default that represents the probability of a default occurring over the remaining lifetime of the financial assets. Allowance for credit losses is higher in this stage because of an increase in credit risk and the impact of a longer time horizon being considered compared to 12 months in stage 1.

Stage 3 The Company recognises a loss allowance at an amount equal to life-time expected credit losses, reflecting a probability of default (PD) of 100% via the recoverable cash flows for the asset. For those financial assets that are credit impaired. The Company's definition of default is aligned with the regulatory definition. The treatment of the loans and other receivables in stage 3 remains substantially the same as the treatment of impaired financial assets under IAS 39 except for the portfolios of assets purchased or originated as credit impaired.

The Company does not originate or purchase credit impaired loans or receivables.

The determination of whether a financial asset is credit impaired focuses exclusively on default risk, without taking into consideration the effect of credit risk mitigants such as collateral or guarantees. Specifically, the financial asset is credit impaired and in stage 3 when: the Company considers the obligor is unlikely to pay its credit obligations to the Company. The termination may include forbearance actions, where a concession has been granted to the borrower or economic or legal reasons that a qualitative indicators of credit impairment; or contractual payments of either principal or interest by the obligor are pass due by more than 90 days.

For financial assets considered to be credit impaired, the ECL allowance covers the amount of loss the Company is expected to suffer. The estimation of ECLs is done on a case by case basis for non-homogenous portfolios, or by applying portfolio based parameters to individual financial assets in this portfolios by the Company’s ECL model for homogenous portfolios.

1.5 **Judgments, Estimates and Assumptions**

The estimates and underlying assumptions are reviewed on an on-going basis. Revision to accounting estimates are recognized in the period in which the estimate is revised, if the revision affects only that period or if the revision affects both current and future periods.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements are described below:

1.5.1 **Income Taxes**

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain. The Company recognizes liabilities for anticipated tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions.

1.5.2 **Retirement Benefits**

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of gratuity obligations. The assumptions used in determining the net cost (income) for gratuity include the discount rate, rate of return on assets, future salary increments and mortality rates.

The Company determines the appropriate discount rate at the end of the period. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the gratuity obligations. In determining the appropriate discount rate, the Company considers the interest rates of high-quality government bonds that are denominated in the currency in which the benefits will be paid and that have terms to maturity approximating the terms of the related gratuity liability. Other key assumptions for gratuity obligations are based in part on current market conditions.

In most cases, no explicit assumptions are made regarding the future rates of claims inflation or loss ratios. Instead, the assumptions used are those implicit in the historical claims development data on which the projections are based. Additional qualitative judgment is used to assess the extent to which past trends may not apply in future, (e.g. to reflect one-off occurrences, changes in external or market factors such as public attitudes to claiming, economic conditions, levels of claims inflation, judicial decisions and legislation, as well as internal factors such as portfolio mix, policy features and claims handling procedures) in order to arrive at the estimated ultimate cost of claims that present the likely outcome from the range of possible outcomes, taking account of all the uncertainties involved.

Similar judgments, estimates and assumptions are employed in the assessment of adequacy of provisions for unearned premium. Judgment is also required in determining whether the pattern of insurance service provided by a contract requires amortisation of unearned premium on a basis other than time apportionment.

1.5.3 **Fair Valuation of Investment Properties**

The fair value of investment properties is based on the nature, location and condition of the specific asset. The fair value is determined by reference to observable market prices. The fair value of investment property does not reflect the related future benefits from this future expenditure. These valuations are performed annually by external appraisers. Assumptions are made about expected future cash flows and the discounting rates.

1.5.4 **Liability for remaining coverage (LRC) and Liability for incurred claims (LIC)**

The measurement of a group's liability resulting from the insurance contracts that it issues requires significant use of estimates and judgments. The Company estimates the liability for future insurance contract obligations, taking into account the expected cash flows for fulfilling these contracts. This involves making assumptions about future claim payments, premium income, and discount rates.

1.5.5 **Reinsurance contracts**

The Company assesses the impact of the reinsurance contracts that it holds on its financial statements, including estimating the expected recoveries from reinsurers. This involves evaluating the terms of reinsurance agreements, the creditworthiness of reinsurers, and the effect on the measurement of re-insurance contract assets and liabilities.

1.5.6 **Fulfillment Cash Flows**

In estimating its liabilities and assets as it relate to insurance and reinsurance contracts, the company makes significant assumptions relating to the future cash flows that will arise from fulfilling insurance contracts, considering variables such as claims experience, lapses, and policyholder behavior. These estimates require judgment and are influenced by historical data and actuarial projections. The Company incorporates, in an unbiased way, all reasonable and supportable information that is available without undue cost or effort at the reporting date. This information includes both internal and external historical data about claims and other experiences, updated to reflect current expectations of future events. The estimates of future cash flows reflect the Group's view of current conditions at the reporting date, using market variables consistent with observable market prices, where applicable.

1.5.7 **Risk adjustment**

In the measurement of risk adjustment, the Company makes use of significant judgments including estimations, actuarial projections, and historical data in determining reasonable compensation for bearing non-financial risks as it relates to insurance contracts that its issued. It also employs similar assumptions and methodologies in estimating the expected reinsurance portion or recoverable as it relates to risk adjustment.

1.5.8 **IFRS 17 Transition**

The measurement of the Company liability for the IFRS 17 transition resulting from the insurance contracts that it issues requires significant use of estimates and judgments. The Company estimates the IFRS 17 transition insurance contract obligations, taking into account the contract's fulfillment cashflows. The Company has applied the full retrospective approach to the transition to all short-term insurance contracts in force at the transition date.

For all groups of insurance and Reinsurance contracts for which the full retrospective approach was impracticable modified retrospective approach was adopted. This involves making assumptions about future claim payments, premium income, and discount rates.

1.5.9 **Discount rates**

The determination of appropriate discount rates to value future cash flows is critical in the application of IFRS 17. The company considers factors such as the time value of money, credit risks, and liquidity premiums in selecting its discount rates. Significant judgment is used by the Company to ensure that the selected rates reflect the characteristics of the cashflows and the risks associated with insurance contracts.

1.6 **Changes in Material Accounting Policies**

1.6.1 **Material Accounting Policy Information**

The Company adopted Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2) from 1 January 2023. Although the amendments did not result in any changes to the accounting policies themselves, they impacted the accounting policy information disclosed in the financial statements. The amendments require the disclosure of 'material', rather than 'significant', accounting policies. The amendments also guide the application of materiality to disclosure of accounting policies, assisting entities to provide useful, entity-specific accounting policy information that users need to understand other information in the financial statements. Management reviewed the accounting policies and made updates to the information disclosed in Note 2 Material accounting policies (2022: Significant accounting policies) in certain instances in line with the amendments.

2.1 **SIGNIFICANT ACCOUNTING POLICIES**

Significant accounting policies are defined as those that are reflective of significant judgements and uncertainties and potentially give rise to different results under different assumptions and conditions.

The accounting policies set out below have been consistently applied to all periods presented in these financial statements.

2.2 **CONSOLIDATION**

(i) Subsidiaries

The financial statements of the subsidiary is consolidated from the date the Group acquires control, up to the date that such effective control ceases. For the purpose of these financial statements, subsidiaries are entities over which the Group, directly or indirectly, has power to govern the financial and operating policies so as to obtain benefits from their activities.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions (transactions with owners). Any difference between the amount by which the non-controlling interest is adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the Group.

Inter- company transactions, balances and unrealised gains on transactions between Companies within the Group are eliminated on consolidation. Unrealised losses are also eliminated in the same manner as unrealised gains, but only to the extent that there is no evidence of impairment. Accounting policies of the subsidiary has been changed where necessary to ensure consistency with the policies adopted by the Group. Investment in the subsidiary in the separate financial statements of the Company entity is measured at cost.

Acquistion - related costs are expensed as incurred.

If the business combination is achieved in stages, fair value of the acquirer's previously held equity interest in the acquiree is re- measured to fair value at the acquisition date through profit or loss.

(ii) Disposal of subsidiaries

On loss of control, the Group derecognises the assets and liabilities of the subsidiary, any controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, that retained interest is accounted for as an equity, accounted investment or as a financial asset under the Amortized Cost or Fair Value Through Other Comprehensive Income category depending on business model intended and the level of influence retained.

2.3 **CASH AND CASH EQUIVALENTS**

Cash and cash equivalents include notes and coins on hand and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Company in the management of its short-term commitments. Due to their short-term nature, the carrying value of cash and cash equivalents approximates their fair value, hence they are carried at fair value in the statement of financial position.

2.4 **FINANCIAL ASSETS**

In 2018 financial year, the Company has applied IFRS 9 Financial Instruments (as revised in July 2014) and the related consequential amendments to other IFRS Standards that are effective for an annual period that begins on or after 1 January 2018.

2.4.1 **Recognition and initial measurement**

Financial assets and liabilities, with the exception of other loans and receivables, are initially recognised on the trade date i.e. the date that the Company becomes a party to the contractual provisions of the instruments

This includes regular way trades: purcahses or sales of financial assets that requires delivery of assets within the time frame generally established by regulation or conviction in the market place. Other loans and receivables are recognised when fund are transferred to the policy holder's accounts.

A financial assets or financial liability is measured initially at fair value or minus, for an item not at fair value through profit or loss, direct and incremental transanctions costs that are directly attributable to its acquisition or issue. Transaction costs of financial assets and liabilities carried at fair value through profit or loss are expensed in profit or loss at initial recognition.

2.4.2 **Classification and Measurement**

Initial measurement of a financial asset or liability shall be at fair value plus transaction costs that are directly attributable to its purchase or issuance. For instruments measured at fair value through profit or loss, transaction costs shall be recognized immediately in profit or loss. Financial assets include placement with banks, treasury bills and equity instruments.

The Company classifies its financial assets into the following categories in line with the provisions of IFRS 9:

(a) those to be measured at fair value through profit or loss (FVTPL)
(b) those to be measured at amortised cost ; and
(c) those to be measured at fair value through other comprehensive income (FVOCI)

The classification depends on the Group's business model (ie business model test) for managing financial assets and the contractual terms of the financial assets cash flows(i.e. solely payments of principal and interest - SPPI test.)

The Company also classify its financial liabilities as liabilities at fair value through profit or loss and liabilities at amortised cost. Management determines the classification of the financial instruments at initial recognition.

A **Classification of Financial Assets**

a) Financial assets measured at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

• The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and

• The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The gain or loss on a debt investment that is subsequently measured at amortised cost and is not part of a hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is determined using the effective interest method and reported in profit or loss as ‘Investment income’.

The amortised cost of a financial instrument is defined as the amount at which it was measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation using the 'effective interest method' of any difference between that initial amount and the maturity amount, and minus any loss allowance. The effective interest method is a method of calculating the amortised cost of a financial instrument (or group of instruments) and of allocating the interest income or expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts over the expected life of the instrument or, when appropriate, a shorter period, to the instrument's net carrying amount.

b) Financial assets measured at FVTPL

Financial assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. The gain or loss arising from changes in fair value of a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is included directly in the profit or loss and reported as 'Net fair value gain/(loss) in the period in which it arises. Interest income from these financial assets is recognised in profit or loss as 'Investment income'.

In addition, the Company may irrevocably designate a debt financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise. This is done on initial recognition of the instrument.

c) Financial assets measured at FVOCI

The Company subsequently measures all equity investments at fair value. For equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis at the initial recognition of the instrument. Where the Company's management has elected to present fair value gains and losses on equity investments in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss. Dividends from such investments continue to be recognised in profit or loss as dividend income when the Company's right to receive payments is established unless the dividend clearly represents a recovery of part of the cost of the investment. All other financial assets are classified as measured at FVTPL. Changes in the fair value of financial assets at fair value through profit or loss are recognised in Net fair value gain/(loss) in the profit or loss.

Business Model Assessment

The Company assesses the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

1) The stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;

2) How the performance of the portfolio is evaluated and reported to management;

3) The risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;

4) How managers of the business are compensated e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and

5) The frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Company's stated objective for managing the financial assets is achieved and how cash flows are realised.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

Assessment of whether contractual cash flows are solely payments of principal and interest on principal amount outstanding

As a second step of its classification process the Company assesses the contractual terms of financial to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortization of the premium/discount). 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the principal amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Company considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- features that modify consideration of the time value of money – e.g. periodical reset of interest rates.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

B. Classification of Financial Liabilities

Financial liabilities shall be classified into one of the following measurement categories:

a) Fair Value through Profit or Loss (FVTPL)
b) Amortised cost

(a) Financial Liabilities at fair value through profit or loss

Financial liabilities accounted for at fair value through profit or loss fall into two categories:
Financial liabilities held for trading and financial liabilities designated at fair value through profit or loss on inception

Financial liabilities at fair value through profit or loss shall be financial liabilities held for trading. A financial liability shall be classified as held for trading if it shall be incurred principally for the purpose of repurchasing it in the near term or if it shall be part of a portfolio of identified financial instruments that shall be managed together and for which there shall be evidence of a recent actual pattern of profit-taking. Derivatives shall also be categorized as held for trading unless they shall be designated and effective as hedging instruments. Financial liabilities held for trading also include obligations to deliver financial assets borrowed by a short seller.

Gains and losses arising from changes in fair value of financial liabilities classified as held for trading shall be included in the income statement and shall be reported as 'Net gains/(losses) on financial instruments classified as held for trading'. Interest expenses on financial liabilities held for trading shall be included in 'Net interest income'.

Financial Liabilities shall be designated at FVTPL when either the designation eliminates or significantly reduces an accounting mismatch which would otherwise arise or the financial liability contains one or more embedded derivatives which significantly modify the cash flows otherwise required. For liabilities designated at fair value through profit or loss, all changes in fair value shall be recognized in the Consolidated Statement of Income, except for changes in fair value arising from changes in the Company's own credit risk which shall be recognized in OCI. Changes in fair value of liabilities due to changes in the Company's own credit risk, which are recognized in OCI, shall not be subsequently reclassified to the Consolidated Statement of Income upon derecognition/extinguishment of the liabilities.

(b) Financial Liabilities at amortised cost

Financial liabilities that are not classified at fair value through profit or loss fall into this category and shall be measured at amortised cost using the effective interest rate method. Financial liabilities measured at amortised cost shall be debt securities in issue for which the fair value option is not applied, convertible bonds and subordinated debts.

C. Reclassifications

The Company reclassifies financial assets when and only when its business model for managing those asstes changes. The reclassifications takes place from the start of the first reporting period following the change. Such changes are expected to be very infrequent and must be significant to the Group's operations.

When reclassification occurs, the Company reclassifies all affected financial assets in accordance with the new business model. Reclassification is applied prospectively from the 'reclassification date'. Reclassification date is 'the first day of the first reporting period following the change in business model. Gains, losses or interest previously recognised are not restated when reclassification occurs.

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Company changes its business model for managing financial assets that are debt instruments. A change in the objective of the Company's business occurs only when the Company either begins or ceases to perform an activity that is significant to its operations (e.g., via acquisition or disposal of a business line).

The following are not considered to be changes in the business model:

· A change in intention related to particular financial assets (even in circumstances of significant changes in market conditions)
· A temporary disappearance of a particular market for financial assets.
· A transfer of financial assets between parts of the entity with different business models.

Financial liabilities are not reclassified after initial classification.

Financial assets under the amortised cost classification (i.e. business model whose objective is to collect the contractual cash flows) can still be held as such even when there are sales within the portfolio as long as the sales are infrequent (even if significant in value) or insignificant in value both individually and in aggregate (even if frequent).

However, if more than an infrequent number of such sales are made out of a portfolio and those sales are more than insignificant in value (either individually or in aggregate), the Company will assess whether and how such sales are consistent with an objective of collecting contractual cash flows.

The Company has defined the following factors which will be considered in concluding on the significance and frequency of sale:

· **Definition of Insignificance**: The Company considers the sale of assets within the BM1 as insignificant if the total sales constitute a value that is less than or equal to 15% of the current amortised cost portfolio per annum or a 5% per quarter subject to a maximum of 15% per annum threshold.

· **Definition of Infrequent:** The Company has decided that any sale not more than once a quarter would be considered as an infrequent sale.

· **Definition of closeness to maturity:** The Company defines close to maturity as instruments with three months to maturity

2.4.3 **Modifications of financial assets and financial liabilities**

(1) Financial Assets

If the terms of a financial asset are modified, the Company evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value. Any difference between the amortized cost and the present value of the estimated future cash flows of the modified asset or consideration received on derecognition is recorded as a separate line item in profit or loss as 'gains and losses arising from the derecognition of financial assets measured at amortized cost'.

If the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the Company recalculates the gross carrying amount of the financial asset as the present value of the renegotiated or modified contractual cash flows that are discounted at the financial asset's original effective interest rate (or credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets). The amount arising from adjusting the gross carrying amount is recognised as a modification gain or loss in profit or loss as part of impairment loss on financial assets for the period.

In determining when a modification to terms of a financial asset is substantial or not to the existing terms, the Company will consider the following non-exhaustive criteria:

Qualitative criteria

Scenarios where modifications could lead to derecognition of existing financial asset and recognition of a new financial asset, i.e. substantial modification, are:

- Change in frequency of repayments i.e. change of monthly repayments to quarterly or yearly repayments
- Reduction of financial asset's tenor
- Extension of financial asset's tenor
- Reduction in repayment of principals and interest
- Capitalisation of overdue repayments into a new principal amount

On occurrence of any of the above factors, the Company will perform a 10% test (**see below**) to determine whether or not the modification is substantial.

Scenarios where modification will not lead to derecognition of existing financial assets are:

· Change in interest rate

Quantitative criteria

A modification would lead to derecognition of existing financial asset and recognition of a new financial asset, i.e. substantial modification, if:

· The discounted present value of the cash flows under the new terms, including any fees received net of any fees paid and discounted using the original effective interest rate, is at least 10 per cent different from the discounted present value of the remaining cash flows of the original financial asset.

A modification would not lead to derecognition of existing financial asset if:

· the discounted present value of the cash flows under the new terms, including any fees received net of any fees paid and discounted using the original effective interest rate, is less than 10 per cent different from the discounted present value of the remaining cash flows of the original financial asset.

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised (see below) and ECL measured as follows:

· If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.

· If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition. This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

Modification gain or loss shall be included as part of impairment loss on financial assets for each financial period.

(2) Financial liabilities

The Company derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. This occurs when the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10 per cent different from the discounted present value of the remaining cash flows of the original financial liability. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in profit or loss. If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment. If the exchange or modification is not accounted for as an extinguishment (i.e. the modified liability is not substantially different), any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

2.4.4 **Impairment of financial assets**

(a) Overview of the Expected Credit Losses (ECL) principles

The Company recognizes allowance for expected credit losses on the following financial instruments that are not measured at FVTPL:

- cash and cash equivalents.
- Debt instrument at amortised cost.
- Other receivables.
- Statutory deposit.

The instruments mentioned above are all referred to as ‘financial instruments’ or ‘assets’. Equity instruments are not subject to impairment under IFRS 9.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LT ECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months’ expected credit loss (12m ECL) as outlined.

The 12m ECL is the portion of LT ECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Both LT ECLs and 12m ECLs are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments.

Loss allowances for accounts receivable are always measured at an amount equal to lifetime ECL. The Company has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument’s credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Company groups its financial instruments into Stage 1, Stage 2, Stage 3 and POCI, as described below:

• Stage 1: When financial assets are first recognised, the Company recognises an allowance based on 12m ECLs. Stage 1 asset also include facilities where the credit risk has improved and the asset has been reclassified from Stage 2.

• Stage 2: When a financial asset has shown a significant increase in credit risk since origination, the Company records an allowance for the LT ECLs. Stage 2 asset also include facilities, where the credit risk has improved and the asset has been reclassified from Stage 3.

• Stage 3: Financial assets considered credit-impaired. The Company records an allowance for the LTECLs.

POCI: Purchased or originated credit impaired (POCI) assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses.

If, in a subsequent period, credit quality improves and reverses any previously assessed significant increase in credit risk since origination, depending on the stage of the lifetime – stage 2 or stage 3 of the ECL bucket, the Company would continue to monitor such financial assets for a probationary period of 90 days to confirm if the risk of default has decreased sufficiently before upgrading such exposure from Lifetime ECL (Stage 2) to 12-months ECL (Stage 1). In addition to the 90 days probationary period above, the Company will also observe a further probationary period of 90 days to upgrade from Stage 3 to 2. This means a probationary period of 180 days will be observed before upgrading financial assets from Lifetime ECL (Stage 3) to 12-months ECL (Stage 1).

For financial assets for which the Company has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) derecognition of the financial asset.

(b) The calculation of ECLs

Expected credit losses are probability-weighted estimate of credit losses over the expected life of the financial Instrument. Credit losses are the present value of the expected cash shortfalls.

The measurement of the expected credit losses should reflect:

- An unbiased and probability weighted amount
- The time value of money
- Reasonable and supportable information that is available without undue cost or effort.

IFRS 9 does not prescribe a single method for measuring expected credit losses. Rather, it acknowledges that the method used to measure expected credit loss may vary based on the type of the financial asset and the information available.

The Company calculates ECLs based on three probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are as follows:

· **PD:** The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

· **EAD:** The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.

· **LGD:** The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

When estimating the ECLs, the Company considers three scenarios (a base case, an upside and downside). Each of these is associated with different PDs, EADs and LGDs. When relevant, the assessment of multiple scenarios also incorporates how defaulted assets are expected to be recovered, including the probability that the assets will cure and the value of collateral or the amount that might be received for selling the asset.

Impairment losses and releases are accounted for and disclosed separately from modification losses or gains that are accounted for as an adjustment of the financial asset's gross carrying value.

The mechanics of the ECL method are summarized below:
• **Stage 1**: The 12m ECL is calculated as the portion of LT ECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. The Company calculates the 12m ECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an approximation to the original EIR. This calculation is made for each of the three scenarios, as explained above.

• **Stage 1**: The 12m ECL is calculated as the portion of LT ECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. The Company calculates the 12m ECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an approximation to the original EIR. This calculation is made for each of the three scenarios, as explained above.

• **Stage 2**: When an asset has shown a significant increase in credit risk since origination, the Company records an allowance for the LT ECLs. The mechanics are similar to those explained above, including the use of multiple scenarios, but PDs and LGDs are estimated over the lifetime of the instrument. The expected cash shortfalls are discounted by an approximation to the original EIR.

• **Stage 3**: For assets considered credit-impaired, the Company recognizes the lifetime expected credit losses for these assets. The method is similar to that for Stage 2 assets, with the PD set at 100%.

• POCI: POCI assets are financial assets that are credit impaired on initial recognition. The Company only recognises the cumulative changes in lifetime ECLs since initial recognition, based on a probability-weighting of the three scenarios, discounted by the credit-adjusted EIR.

(c) Debt instruments measured at fair through OCI
The ECLs for debt instruments measured at FVOCI do not reduce the carrying amount of these financial assets in the statement of financial position, which remains at fair value. Instead, an amount equal to the allowance that would arise if the assets were measured at amortised cost is recognised in OCI as an accumulated impairment amount, with a corresponding charge to profit or loss. The accumulated loss recognised in OCI is recycled to the profit and loss upon derecognition of the assets.

(d) Purchased or originated credit impaired financial assets (POCI)
At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

· Significant financial difficulty of the borrower or issuer;
· A breach of contract such as a default or past due event;
· The restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise;
· It is becoming probable that the borrower will enter bankruptcy or other financial reorganization; or
· The disappearance of an active market for a security because of financial difficulties.

An asset that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment.

For POCI financial assets, the Company only recognises the cumulative changes in LT ECL since initial recognition in the loss allowance.

(e) Collateral valuation

To mitigate its credit risks on financial assets, the Company seeks to use collateral, where possible. The collateral comes in various forms: salary/other terminal benefits for the staff loans etc. The Company's accounting policy for collateral assigned to it through its lending arrangements under IFRS 9 is the same as it was under IAS 39. Collateral, unless repossessed, is not recorded on the Company's statement of financial position.

However, the fair value of collateral affects the calculation of ECLs. It is generally assessed, at a minimum, at inception and re-assessed on periodic basis as deemed necessary.

(f) Presentation of allowance for ECL in the statement of Financial position

Loan allowances for ECL are presented in the statement of financial position as follows:

· Financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets;

· Debt instruments measured at FVOCI: no loss allowance is recognised in the statement of financial position because the carrying amount of the asset is its fair value. However, the loss allowance is disclosed and recognised in the fair value reserve in equity (through OCI).

(g) Write - off

After a full evaluation of a non-performing exposure, in the event that either one or all of the following conditions apply, such exposure is recommended for write-off (either partially or in full):

· continued contact with the customer is impossible;
· recovery cost is expected to be higher than the outstanding debt;
· amount obtained from realization of credit collateral security leaves a balance of the debt; or
· it is reasonably determined that no further recovery on the facility is possible.

All credit facility write-offs require endorsement by the Board Risk Management Committee, as defined by the Company. Credit write-off approval is documented in writing and properly initiated by the Board Risk Management Committee.

A write-off constitutes a derecognition event. The write-off amount is used to reduce the carrying amount of the financial asset. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amount due. Whenever amounts are recovered on previously written-off credit exposures, such amount recovered is recognised as income on a cash basis only.

(h) Forward looking information

In its ECL models, the Company relies on a broad range of forward looking information as economic inputs,such as , GDP growth, Unemployment rates, Inflation rates and crude oil prices.

2.4.6 Fair value measurement - policy applicable for current and comparative periods

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

If a market for a financial instrument is not active, then the Company establishes fair value using a valuation technique. The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Company, incorporates all factors that market participants would consider in setting a price and is consistent with accepted economic methodologies for pricing financial instruments.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price – i.e. the fair value of the consideration given or received. However, in some cases the initial estimate of fair value of a financial instrument on initial recognition may be different from its transaction price. If this estimated fair value is evidenced by comparison with other observable current market transactions in the same instrument (without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets, then the difference is recognised in profit or loss on initial recognition of the instrument. In other cases, the fair value at initial recognition is considered to be the transaction price and the difference is not recognised in profit or loss immediately but is recognised over the life of the instrument on an appropriate basis or when the instrument is redeemed, transferred or sold, or the fair value becomes observable.

Fair value of fixed income liabilities is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

2.4.7 Derecognition of financial assets

The Company derecognises a financial assets when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all the risks and rewards of ownership and it does not retain control of the financial asset. Any interest in such derecognised asset financial asset that is created or retained by the Company is recognised as a separate asset or liability. Impaired debts are de-recognised when they are assessed as uncollectible.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and consideration received (including any new asset obtained less any new liability assumed) is recognised in profit or loss.

2.4.8 Derecognition of financial liabilities

The Company de-recognises financial liabilities when, and only when its contractual obligations are discharged or cancelled, or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in profit or loss.

2.4.9 Write off - policy applicable for current and comparative periods

The Company writes off a financial asset (and any related allowances for impairment losses) when the Company’s Credit determines that the assets are uncollectible. Financial assets are written off either partially or in their entirety. This determination is reached after considering information such as the occurrence of significant changes in the borrower/issuer’s financial position such that the borrower/issuer can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are credited to impairment loss on financial assets.

However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amount due.

2.5 **TRADE RECEIVABLES**

Trade receivables are initially recognized at fair value and subsequently measured at amortized cost less provision for impairment. A provision for impairment is made when there is an objective evidence (such as the probability of solvency or significant financial difficulties of the debtors) that the Company will not be able to collect all the amount due based on the original terms of the invoice. Allowances are made based on an impairment model which consider the loss given default for each customer, probability of default for the sectors in which the customer belongs and emergence period which serves as an impairment trigger based on the age of the debt. Impaired debts are derecognized when they are assessed as uncollectible. If in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized, the previous recognized impairment loss is reversed to the extent that the carrying value of the asset does not exceed its amortized cost at the reversed date. Any subsequent reversal of an impairment loss is recognized in the profit or loss.

2.6 **OTHER RECEIVABLES AND PREPAYMENTS**

2.6.1 **Other receivables**

Other receivables are made up of amounts due from parties which are not directly linked to insurance or investment contracts. Other receivables are stated after deductions of amount considered bad or doubtful of recovery. When a debt is deemed not collectible, it is written-off against the related provision or directly to the profit or loss to the extent not previously provided for. Any subsequent recovery of written-off debts is credited to the profit or loss.

2.6.2 **Prepayments**

Prepayments are carried at cost less amortisation and accumulated impairment losses.

2.7 **INVESTMENT PROPERTIES**

Investment properties comprises of properties held to earn rental income and/or for capital appreciation. Investment properties are initially measured at cost and subsequently carried at fair value based on valuers hired by the Company. Investment properties are revalued with sufficient regularity by external professional. The valuators value is determined by discounting expected future cash flows at appropriate market interest rates. Changes in fair value of investment properties are recognised in the statement of comprehensive income as investment surplus. When investment properties become owner-occupied, the Company reclassifies them to owner-occupied properties at a deemed cost equal to the fair value of properties at the date of reclassification. The difference between the carrying value and fair value of the properties at the date of reclassification to investment properties is recognised directly in equity as a revaluation surplus. Investment properties are derecognised when they have either been disposed off or when they are permanently withdrawn from use and no future benefit is expected from their disposal.

2.8 **STATUTORY DEPOSIT**

Statutory deposit represents 10% of the paid up capital of the Company deposited with the Central Bank of Nigeria (CBN) in pursuant to Section 10(3) of the Insurance Act of Nigeria CAP I17, 2004. This is restricted cash as management does not have access to the balances in its day to day activities. Statutory deposits are measured at cost and interest income earned on the deposit is included in investment income.

2.9 **INTANGIBLE ASSETS**

Intangible assets comprise computer software licenses, which are with finite lives and are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and amortisation method for an intangible asset with finite useful life are reviewed at every financial year end. Changes in the expected useful life or the expected petter of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method as appropriate, and are treated as changes in accounting estimates. the amortisation expense on intangible assets is recognised in the profit or loss in the expense category consistent with the function of the intangible asset.

The Company chooses to use the cost model for the measurement after recognition. Amortisation is calculated on a straight line basis over the useful lives as follows:

IES-Online Software	33%

2.10 **PROPERTY, PLANT AND EQUIPMENT**

(i) Recognition and measurement

Property, plant and equipment are initially recorded at cost. Land is subsequently carried at revalued amount being the fair value at the date of revaluation,while buildings are subsequently carried at revalued amount being the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Revaluations are made with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting date.

All other property, plant and equipment are stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items. Any increase in an asset's carrying amount, as a result of revaluation is credited to other comprehensive income and accumulated in Revaluation Surplus within Revaluation reserves in equity. The increase is recognized in profit or loss to the extent that it reverses a decrease of the same asset previously recognised in profit or loss.

(ii) Subsequent costs

The cost of replacing part of an item of property or equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The costs of the day-to-day servicing of property and equipment are recognized in profit or loss as incurred.

(iii) Depreciation

Depreciation is recognized in Profit or Loss and is provided on a straight-line basis over the estimated useful life of the assets.Depreciation methods, estimated useful lives and residual values are reviewed annually and adjusted when necessary. No depreciation is charged on property, plant and equipment until they are available for use. The average useful lives per class of asset are as follows:

Assets class		**Average useful life**
Land	-	Nil
Building under Construction	-	Nil
Buildings	-	2%
Machinery and equipment	-	20%
Motor vehicles	-	20%
Furniture and fittings	-	20%
Computer equipment	-	20%

(iv) De-recognition

An item of property, plant and equipment is derecognized on disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset which is calculated as the difference between the net disposal proceeds and the carrying amount of the asset is included in profit or loss in the period the asset is derecognized.

2.11 **TRADE AND OTHER PAYABLES**

Trade and other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date of the liability is less than one year discounting is omitted.Provisions are recognised when the Company has a present legal or constructive obligation as a result of past events, it is more likely than not, that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

2.12 **RETIREMENT OBLIGATIONS AND EMPLOYEE BENEFITS**

The Company operates the following contribution and benefit schemes for its employees:

(i) **Defined contribution pension scheme**

The Company operates a defined contribution scheme in line with Pension Reform Act, 2014. The employee and the Company contribute 8.5% and 10% of the employee total emoluments (basic, housing and transport allowances) respectively.The Group's contribution each year is charged against income and is included in staff cost. The Company has no further obligations once the contribution is paid to the respective employee Pension Fund Administrators.

(ii) **Defined benefit gratuity scheme**

A defined benefit plan is a pension plan that defines the amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation. The liability recognised in the statement of financial positionis respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date together with adjustments for unrecognised actuarial gains or losses and past services cost. The Board of directors approved the discontinuation of the defined benefit plan with effect from 23 September 2021 and authorised that qualified staff members as at the date be settled.

2.13 **INCOME TAX LIABILITIES**

Income tax expense comprises current and deferred tax

(i) Current income tax

Income tax payable is calculated on the basis of the applicable tax law in the respective jurisdiction and is recognized as an expense for the period except to the extent that current tax related to items that are charged or credited in other comprehensive income or directly to equity. In these circumstances, current tax is charged or credited to other comprehensive income or to equity.

(ii) Deferred income tax

Deferred income tax is provided using liability method on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Deferred income tax is determined using tax rates that have been enacted or substantially enacted by the date of the consolidated statement of financial position and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

The principal temporary differences arise from depreciation of property, plant and equipment, revaluation of certain financial assets and liabilities and in relation to acquisitions on the difference between the fair values of the net assets acquired and their tax base.

However, deferred income tax is not recognized for:

(a) Temporary differences arising on the initial recognition of goodwill

(b) Temporary differences on the intial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss

(c) Temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future.

Deferred tax assets are recognized when it is probable that future taxable profit will be available against which these temporary differences can be utilized.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities against current tax assets, and they relate to taxes levied by the same tax authority on the same taxable entity or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

2.14 **SHARE CAPITAL AND PREMIUM**

Ordinary shares are classified as equity when there is no obligation to transfer cash or other assets. Incremental costs directly attributable to the issue of equity instruments are shown in equity as a deduction from the proceeds, net of tax. Share premium accounts for the amount the Company raises in excess of par value.

2.15 **CONTINGENCY RESERVE**

(a) Non-Life Business

In accordance with section 20(1) of insurance Act 2003, the contingency reserve is credited with the higher of 3% of total premiums, or 20% of the profits. This shall be accumulated until it reaches the amount of the higher of minimum paid-up capital or 50 percent of net premium.

(a) Life Business

In accordance with section 22(1) (b) of Insurance Act 2003, the contingency reserve is credited with the higher of 1% of gross premiums or 10% of net profit.

2.16 **RETAINED EARNINGS**

Retained earnings are the carried forward recognised income net of expenses plus current period profit or loss attributable to owners of the Company.

2.17 **FVOCI RESERVE**

FVOCI reserve comprises the cumulative net change in the fair value of the Group's investments categorised as Fair Value Through Other Comprehensive Income (FVTOCI). Net fair value movements are recycled to income statement if an investment categorized as Amortised Cost is either derecognized or impaired.

2.18 **OTHER RESERVES - EMPLOYEE BENEFIT ACTUARIAL SURPLUS**

Actuarial surplus/deficit on employee benefits represent changes in benefit obligation due to changes in actuarial valuation assumptions or actual experience differing from experience. The gains/losses for the period, net of applicable deferred tax assets/liability on employee benefit obligation, are recognized in other comprehensive income.

2.19 **ASSET REVALUATION RESERVES**

Subsequent to initial recognition, an item of property and equipment and, in certain circumstances, may be revalued to fair value. However, if such an item is revalued, the whole class of asset to which that asset belongs has to be revalued. The revaluation surplus is recognised in equity, unless it reverses a decrease in the fair value of the same asset which was previously recognised as an expense, in which case it is recognised in income statement. A subsequent decrease in the fair value is charged against this reserve to the extent that there is a credit balance relating to the same asset, with the balance being recognised in profit or loss.

2.20 **EARNINGS PER SHARE**

Basic earnings per share (EPS) is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

2.21 **FOREIGN CURRENCY TRANSLATION**

(a) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the 'functional currency'). The consolidated financial statements are presented in Nigerian Naira (N), which is the Group's presentation currency.

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at period-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the profit or loss.

Foreign exchange gains and losses relating to borrowings and cash and cash equivalents are presented in the income statement within 'finance income or finance cost'. All other foreign exchange gains and losses are presented in the income statement within 'Other operating income' or ' Other operating expenses'.

2.22 **INVESTMENT INCOME**

Investment income includes interest, rental, and dividend income received. Interest income is accounted for on a time-proportionate basis that takes into account the effective yield on the asset and includes the net income from short term investments. rental incme on operating lease is recognised on a staright line basis over the lease term.

Dividend income

Dividend income is recognised in profit or loss when the right to receive the dividend is established.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- The gross carrying amount of the financial asset; or
- The amortised cost of the financial liability.

When calculating the effective interest rate for financial instruments other than credit-impaired assets, the Company estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses. For credit-impaired financial assets, a credit-adjusted effective interest rate is calculated using estimated future cash flows including expected credit losses.

The EIR (and therefore, the amortised cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Company recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset are revised for reasons other than credit risk. The adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the balance sheet with an increase or reduction in interest income. The adjustment is subsequently amortised through Interest and similar income in the income statement.

(a) Amortised cost and gross carrying amount

The amortised cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance (or impairment allowance before 1 January 2018).

The gross carrying amount of a financial asset is the amortised cost of a financial asset before adjusting for any expected credit loss allowance.

(b) Calculation of interest income and expenses

The Company calculates interest income and expense by applying the effective interest rate to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability.

However, for financial asset that have become credit-impaired subsequent to initial recognition and is, therefore, regarded as 'Stage 3', the Company calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial assets cures and is no longer credit-impaired, then the Company reverts to calculating interest income on a gross basis.

(b)

For purchased or originated credit-impaired (POCI) financial assets, the Company calculates interest income by calculating the credit-adjusted effective interest rate and applying that rate to the amortised cost of the asset. The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost of the POCI assets. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

(c) Presentation

Interest income and expenses presented in the profit or loss includes:

· interest on financial assets and financial liabilities measured at amortised cost calculated on an effective interest basis.

· interest on debt instruments measured at FVOCI calculated on an effective interest basis (if any).

Interest income and expense on all assets and liabilities measured at FVTPL are considered to be incidental to the Company's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in "net fair value gains/(losses)".

2.23 **SEGMENT REPORTING**

An operating segment is a component of the Company that engages in business activities from which it can earn and incur expenses, including revenues and expenses that relate to transaction with any of the Group's other components, whose revenues and operating results are reviewed regularly by Executive Management to make decisions about the resources allocated to each segment and assess its performance, and for which discrete financial information is available. All costs that are directly traceable to the operating segments are allocated to the segment concerned while indirect costs are allocated based on the benefits derived from such costs.

2.24 **CONTINGENT LIABILITIES**

These are Possible obligations of the Company, the existence of which will only be confirmed by the occurrence or non-occurrence of uncertain future events not wholly within the control of the Company and present obligations of the Company where it is probable that an outflow of economic benefits will be required to settle the obligation or where the amount of the obligation cannot be measured reliably, which are not recognised in the Company's statement of financial position but are disclosed in the notes to the financial statements.

Possible assets of the Company, the existence of which will only be confirmed by the occurrence or non-occurrence of uncertain future events not wholly within the control or the Company, are not recognised in the Company's statement of financial position and are only disclosed in the notes to the financial statements where an inflow of economic benefits is probable.

3 IFRS 17 ACCOUNTING POLICY

A Insurance contracts

Key types of insurance contracts issued, and reinsurance contracts held.

The Company issues the following types of contracts that are accounted for in line with IFRS 17 Insurance Contracts:

Ø Life insurance
Ø Non-life insurance

(i) **LIFE INSURANCE**

For the Life insurance products, the Company offers the following insurance contracts with the indication of IFRS 17 methodologies applied to these contracts:

(a) Individual Life With-profit Policies - These are endowment plans without participating features. The Company accounts for these policies by applying the General Model.

(b) Individual Life Without-profit Policies including:

- Term life insurance contracts providing level or decreasing sum assured coverage for a limited period in exchange for renewable fixed premiums.
- Whole of life assurance contracts. The Company accounts for these policies by applying the General Model.

(c) Annuity Policies including

• Fixed annuity contracts that provide the annuitant with a guaranteed income payout for a limited period.
• Deferred annuity contracts that provide the annuitant with a guaranteed income payout for life, with the first payment due at the end of the deferment period, provided all contractual premiums were paid. The policyholder is entitled to a surrender benefit (a portion of the accumulation balance at a guaranteed interest rate) if premiums are not fully paid. The Company accounts for these policies by applying the General Model.

(d) ***Life Business*** – Deposit-based policies. These contracts are individual term assurance plans providing a death benefit with non-distinct investment components. The Company accounts for these policies by applying the General Measurement Model.

(e) Group Life Insurance - The Company issues term assurance plans to provide death benefits to employees of businesses with coverage of one year or less. The Company accounts for these contracts by applying the Premium Allocation Approach (PAA).

(ii) NON – LIFE INSURANCE

The Company issues non-life insurance to individuals and businesses. Non-life insurance products offered include motor, property, marine, fire and personal accident. These products offer protection of the policyholder's assets and indemnification of other parties that have suffered damage due to a policyholder's accident. The Company accounts for these contracts by applying the Premium Allocation Approach (PAA).

Reinsurance contracts

The Company also holds the following types of reinsurance contracts to mitigate risk exposure.

• For the life business, the Company holds quota share reinsurance treaties and accounts for these treaties applying the PAA.
• For non-life, the Company holds facultative (excess of individual loss) reinsurance policies and quota share reinsurance contracts accounted for applying the PAA.

B Definitions and classifications of Insurance Contract

Insurance products sold by the Company are classified as insurance contracts when the Company accepts significant insurance risk from a policyholder by agreeing to compensate the policyholder if a specified uncertain future event adversely affects the policyholder. This assessment is made on a contract-by-contract basis at the contract issue date. In making this assessment, the Company considers all its substantive rights and obligations, whether they arise from contract, law or regulation. The Company determines whether a contract contains significant insurance risk by assessing if an insured event could cause the Company to pay to the policyholder additional amounts that are significant in any single scenario with commercial substance even if the insured event is extremely unlikely or the expected present value of the contingent cash flows is a small proportion of the expected present value of the remaining cash flows from the insurance contract. The Company does not issue any contracts with direct participating features.

C Combining a set or series of contracts.

Sometimes, the Company enters into two or more contracts at the same time with the same or related counterparties to achieve an overall commercial effect. The Company accounts for such a set of contracts as a single insurance contract when this reflects the substance of the contracts. When making this assessment, the Company considers whether:

- The rights and obligations are different when looked at together compared to when looked at individually.
- The Company is unable to measure one contract without considering the other.

D Separating components from insurance and reinsurance contracts

The Company assesses its insurance and reinsurance products to determine whether they contain components which must be accounted for under another IFRS rather than IFRS 17 (distinct non-insurance components). After separating any distinct components, an entity must apply IFRS 17 to all remaining components of the (host) insurance contract. Currently, the Company's products do not include distinct components that require separation. Some term life contracts issued by the Company include a surrender option under which the surrender value is paid to the policyholder on maturity or earlier lapse of the contract. These surrender options have been assessed to meet the definition of a non-distinct investment component in IFRS 17. However, receipts and payments of the investment components are excluded from insurance revenue and insurance expenses. The surrender options are considered non-distinct investment components as the Company is unable to measure the value of the surrender option component separately from the life insurance portion of the contract.

The standard requires an insurer to identify and separate distinct components in certain circumstances. When separated, those components are accounted for under the relevant IFRS (i.e., not under IFRS 17). Investment components that are highly interrelated with the insurance contract of which they form a part are considered non-distinct and are not separately accounted for. However, these non-distinct investment components are excluded from the insurance service results. Paragraph B18 of IFRS 17 states that an entity needs to assess the insurance risk excluding scenarios that have no commercial substance (ie no discernible effect on the economics of the transaction). Hence, to determine if an insurance contract includes an investment component the entity needs to assess whether scenarios in which no payments are made have commercial substance. The entity does not consider a scenario for which no payment is made if that scenario has no commercial substance. For LASACO, none of the products issued currently have distinct investment components. For LASACO deposit-based endowments, unallocated investment income is what covers policy expenses and management expenses as well as guaranteed death benefits. This effectively implies that the investment component in these products is interrelated with the risk component. The investment component for LASACO endowments comprises surrender and maturity benefits payable.

E Level of aggregation

IFRS 17 requires an entity to determine the level of aggregation for applying its requirements. The Company identifies portfolios by aggregating insurance contracts that are subject to similar risks and managed together. In Companying insurance contracts into portfolios, the Company considers the similarity of risks rather than the specific labelling of product lines. The Company has determined that all contracts within each product line, as defined for management purposes, have similar risks. Therefore, when contracts are managed together, they represent a portfolio of contracts. Each portfolio is subdivided into a group of contracts to which the recognition and measurement requirements of IFRS 17 are applied. At initial recognition, the Company segregates contracts based on when they were issued. A cohort contains all contracts that were issued within 12 months. Each cohort is then further disaggregated into three groups of contracts:

- Contracts that are onerous on initial recognition
- Contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently
- Any remaining contracts For the Retail Life business, the determination of whether a contract or a group of contracts is onerous is based on the expectations as at the date of initial recognition, with fulfilment cash flow expectations determined on a probability-weighted basis.

The composition of the group established at initial recognition is not subsequently reassessed. The profitability of a group of contracts is assessed by actuarial valuation models that take into consideration existing and new businesses. For short-term contracts accounted for by applying the PAA, the Company determines that contracts are not onerous on initial recognition unless there are facts and circumstances indicating otherwise. For contracts that are not onerous, the Company assesses, at initial recognition, that there is no significant possibility of becoming onerous subsequently by assessing the likelihood of changes in applicable facts and circumstances.

The Company considers facts and circumstances to identify whether a Company of contracts are onerous based on:

- Significant changes in external conditions including economic or regulatory changes e.g. (PRAN rate review)
- Changes to the organization or processes
- Changes in underwriting and pricing strategies
- Trends in experience and expected variability in cashflows.

This consideration is only required for Liability for Remaining Coverage (LRC) and not Liability for Incurred Claims (LIC) which is already measured at current fulfilment value. Fulfilment cashflows can be estimated at whichever aggregate level is deemed appropriate and then subsequently allocated into IFRS 17 portfolios and groups. The fact that incurred claims of a particular cohort is loss-making does not mean the LRC will be onerous as well. Judgement is applied to determine whether each cohort's LRC will be similar to this incurred experience and hence onerous. For example, actions taken to improve profitability in a historically loss-making cohort may indicate that the cohort will be non-onerous going forward.

All short-term contracts have currently been assessed as having no possibility of becoming onerous. Though the Fire portfolio (non-Life) has historically been loss-making, the portfolio has been showing some improvement post-implementation of PRAN rates and other underwriting strategies such as the removal of some toxic accounts etc. The Company expects that improvements will be sustained in future and therefore the cohort will be non-onerous. In subsequent periods, non-onerous contracts are re-assessed based on the likelihood of prevailing facts and circumstances leading to a significant possibility of becoming onerous. Reinsurance contracts held are assessed for aggregation on an individual contract basis and are assessed separately from insurance contracts. The smallest unit of account is a reinsurance contract, even where this contract covers more than one type of insurance product. However, there are cases where a reinsurance contract covers separate and identifiable product lines which are only included in the same legal document for administrative convenience. These contracts have been separated into different components. An example is the NLIP reinsurance contract covering Auto, Casualty and Employer's Liability Lines. Each reinsured line is managed separately and priced separately so they are treated as separate reinsurance contracts. If two or more reinsurance contracts are written on a particular product line, these may be grouped in the same portfolio as they will be covering risks of the same nature and will be managed together. For example, the Surplus contracts (1&2) on Fire have been grouped as they cover risks of the same nature and can be measured under the same measurement approach (PAA because they have a contract boundary of 1 year). While facultative and excess of loss contracts are in separate groups; though they cover the same risks and are even managed together, differing measurement approaches as well as recognition requirements may apply.

F Recognition

Insurance contracts are recognised as at the date when the first payment is received by the policyholder. As LASACO adheres to the statutory "no premium no cover", the date premium is received from the policyholder will always be earlier or on the same date as the coverage period. This premium receipt date would then be used to separate the group of insurance contracts into yearly cohorts. The contract grouping shall not be reassessed until they are derecognized. As required by the standard, LASACO will recognize contracts from the date at which they are determined to be onerous, if this occurs before premium payment or cover commencement.

G Contract Boundaries

The Company includes in the measurement of a Company of insurance contracts all the future cash flows within the boundary of each contract in the Company. Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which the Company can compel the policyholder to pay the premiums, or in which the Company has a substantive obligation to provide the policyholder with insurance contract services.

A substantive obligation to provide insurance contract services ends when:

- The Company has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflect those risks. Or
- Both of the following criteria are satisfied:
- The Company has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the risk of that portfolio.

- The pricing of the premiums up to the date when the risks are reassessed does not take into account the risks that relate to periods after the reassessment date.

A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract are not recognized. Such amounts relate to future insurance contracts. For life contracts with renewal periods, the Company assesses whether premiums and related cash flows that arise from the renewed contract are within the contract boundary. The pricing of the renewals is established by the Company by considering all the risks covered for the policyholder by the Company, which the Company would consider when underwriting equivalent contracts on the renewal dates for the remaining service. The Company reassesses the contract boundary of each group at the end of each reporting period.

H Measurement of insurance contracts issued

1 General Model

1.1 ***Insurance contracts – Initial measurement***

The Company measures a Company of contracts on initial recognition as the sum of the expected fulfilment cash flows within the contract boundary and the Contractual Service Margin (CSM) representing the unearned profit in the contracts relating to services that will be provided under the contracts.

Fulfilment cash flows within the contract boundary

The fulfilment cash flows are the current unbiased and probability-weighted estimates of the present value of the future cash flows, including a risk adjustment for non-financial risk. In arriving at a probability-weighted mean, the Company considers a range of scenarios to establish a full range of possible outcomes incorporating all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of expected future cash flows. The estimates of future cash flows reflect conditions existing at the measurement date including assumptions at that date about the future The Company estimates expected future cash flows for a Company of contracts at a portfolio level and allocates them to the group in that portfolio systematically and rationally. When estimating future cash flows, the Company includes all cash flows within the contract boundary including:

- Premiums and any additional cash flows resulting from those premiums.
- Reported claims that have not yet been paid, claims incurred but not yet reported, future claims expected to arise from the policy and potential cash inflows from recoveries on future claims covered by existing insurance contracts.
- An allocation of insurance acquisition cash flows attributable to the portfolio to which the issued contract belongs.
- Claim handling costs.
- Costs of providing contractual benefits in kind, such as home and vehicle repair
- Policy administration and maintenance costs including recurring commissions expected to be paid to intermediaries for policy administration services only (recurring commissions that are insurance acquisition cash flows are treated as such in the estimate of future cash flows)

• Transaction-based taxes
• An allocation of fixed and variable overheads directly attributable to the fulfilment of insurance contracts including overhead costs such as accounting, human resources, information technology and support, building depreciation, rent, and maintenance and utilities.
• Costs incurred for performing investment activities that enhance insurance coverage benefits for the policyholder.
• Costs incurred for providing investment-related service and investment-return service to policyholders.
• Other costs specifically chargeable to the policyholder under the terms of the contract.

The Company does not provide investment-return services in respect of contracts that it issues, nor does it perform investment activities for the benefit of policyholders. The Company incorporates, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows. The Company estimates the probabilities and amounts of future payments under existing contracts based on information obtained, including:

• Information about claims already reported by policyholders.
• Other information about the known or estimated characteristics of the insurance contracts
• Historical data about the Company's own experience, supplemented, when necessary, with data from other sources. Historical data is adjusted to reflect current conditions.
• Current pricing information, when available.

The measurement of fulfilment cash flows includes insurance acquisition cash flows which are allocated as a portion of premium to profit or loss (through insurance revenue) throughout the contract systematically and rationally based on the passage of time. The Company does not elect to accrete interest on insurance acquisition cash flows to be allocated to profit or loss.

Discount Rate

The time value of money and financial risk is measured separately from expected future cash flows with changes in financial risks recognized in profit or loss at the end of each reporting period unless the Company has elected the accounting policy to present the time value of money separately in profit or loss and other comprehensive income.

The Company measures the time value of money using discount rates that reflect the liquidity characteristics of the insurance contracts and the characteristics of the cash flows, consistent with observable current market prices. They exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts (e.g., credit risk). In determining discount rates for cash flows, the Company uses the 'bottom-up approach' to estimate discount rates starting from a risk-free rate with similar characteristics, plus an illiquidity premium where applicable.

Risk-free rates are determined by reference to the yields of highly liquid FGN Bonds. The illiquidity premium is determined by reference to observable market rates, including sovereign debt, corporate debt and market swap rates.

Risk adjustment for non-financial risk

The Company measures the compensation it would require for bearing the uncertainty about the amount and timing of cash flows arising from insurance contracts, other than financial risk, separately as an adjustment for non-financial risk. The Company uses the cost of capital method in estimating the risk adjustment. The level of capital and the cost of the capital rate that feed this estimation technique are calibrated from the Company economic capital's approach within which the Company estimates the impact of non-financial risks.

The economic capital approach includes a quantitative measure of the Group's risk appetite which allows a specific measure of the Company's non-financial risk and the degree of its risk aversion for financial reporting purposes. The Company's economical capital approach, and the risk adjustment calculation derived from it, include the benefits of diversification at the issuing entity level. This is allocated to all the group of insurance contracts. Diversification benefits are derived from a study of the negative correlation that exists among the different non-financial variables impacting the cash flows from the portfolios of the Company and resulting in lower economic capital being necessary to absorb the residual level of uncertainty.

Contractual service margin (CSM)

The CSM is a component of the overall carrying amount of a Company of insurance contracts representing unearned profit that the Company will recognize as it provides insurance contract services over the coverage period. At initial recognition, the Company measures the CSM at an amount that, unless a Company of insurance contracts is onerous, results in no gains recognized in profit or loss arising from:

- The expected fulfilment cash flows of the Company.
- The amount of any derecognized asset for insurance acquisition cash flows allo
- Any other asset or liability previously recognized for cash flows related to the Company.
- Any cash flows that have already arisen on the contracts as of that date.

If a group of contracts is onerous, the Company recognizes a loss on initial recognition. This results in the carrying amount of the liability for the Company being equal to the fulfilment cash flows, and the CSM of the Company being nil.

A loss component is recognized for any loss on initial recognition of the Company of insurance contracts. The Company determines at initial recognition the Company's coverage units. The Company then allocates the Company's CSM based on the coverage units provided in the period. The Company allocates contracts acquired with claims in the settlement phase into an annual group based on the expected profitability of the contracts at the date of acquisition. The Company uses the consideration received or paid as an approximation of premiums to calculate the CSM on initial recognition.

Insurance acquisition cash flows

The Company includes insurance acquisition cash flows in the measurement of a Company of insurance contracts if they are directly attributable to either the individual contracts in a Company, the Company itself or the portfolio of insurance contracts to which the Company belongs. The Company estimates, at a portfolio level, insurance acquisition cash flows not directly attributable to the Company but directly attributable to the portfolio. The Company then allocates them to the Company of newly written and renewed contracts on a systematic and rational basis.

The Company applies judgment in determining the inputs used in the methodology to systematically and rationally allocate insurance acquisition cash flows to a group of insurance contracts. This includes judgements about whether insurance contracts are expected to arise from renewals of existing insurance contracts and, where applicable, the amount to be allocated to the group including future renewals and the volume of expected renewals from new contracts issued in the period. In the current and prior years, the Company did not allocate any insurance acquisition cash flows to future groups of insurance contracts, as it did not expect any renewal contracts to arise from new contracts issued in the period. In the current and prior years, the Company did not identify any facts and circumstances indicating that the assets may be impaired.

Deferred acquisition costs (DAC)

Under IFRS 4, the Company recognised deferred acquisition cash flows separately as assets. Under IFRS 17, insurance acquisition cash flows are allocated to existing and future groups of insurance contracts on a systematic and rational basis. For insurance contracts measured under the GMM, on initial recognition of a group of contracts, the allocated insurance acquisition cash flows decrease the CSM and are thus implicitly deferred within the CSM, leading to a lower amount of CSM amortisation recognised in revenue in future reporting periods as services are rendered.

However, for presentation purposes, directly attributable acquisition costs allocated to a Company of contracts are amortised as an insurance service expense systematically on the basis of the passage of time, with an equal amount recognised as insurance revenue. Under the PAA, the Company recognised insurance acquisition cash flows in the liability for remaining coverage (LRC) and amortised insurance acquisition cash flows as insurance service expenses.

1.2 **Insurance contracts – Subsequent Measurement (General Model)**

In estimating the total future fulfilment cash flows, the Company distinguishes between those relating to already incurred claims and those relating to future service. At the end of each reporting period, the carrying amount of the Company of insurance contracts will reflect a current estimate of the liability for remaining coverage (LRC) as at that date and a current estimate of the liability for incurred claims (LIC). The LRC represents the Company's obligation to investigate and pay valid claims under existing contracts for insured events that have not yet occurred, amounts that relate to other insurance contract services not yet provided (i.e. provision of investment-return and investment-related services) and investment components and other amounts not related to insurance contract services that have not yet been transferred to the LIC. The LRC is comprised of:

(a) the fulfilment cash flows relating to future service,

(b) the CSM yet to be earned and
(c) any outstanding premiums for insurance contract services already provided.

The LIC includes the Company's liability to pay valid claims for insured events that have already been incurred, other incurred insurance expenses arising from past coverage service and the liability for claims incurred but not yet reported. It also includes the Company's liability to pay amounts the Company is obliged to pay the policyholder under the contract. This includes repayment of investment components when a contract is derecognized. The current estimate of LIC comprises the fulfillment cash flows related to current and past services allocated to the Company at the reporting date.

Changes in fulfillment cash flows

At the end of each reporting period, the Company updates the fulfillment cash flows for both LIC and LRC to reflect the current estimates of the amounts, timing, and uncertainty of future cash flows, as well as discount rates and other financial variables. The Company has an accounting policy choice that calculates changes in fulfillment cash flows at the end of a reporting period for changes in nonfinancial assumptions, changes in discount rates, and financial assumptions. The Company first calculates the changes in discount rates and financial assumptions on the fulfillment cash flows (as expected at the beginning of the period) and then calculates changes in those cash flows from the change in non-financial assumptions. Experience adjustments are the difference between:

• The expected cash flow estimates at the beginning of the period and the actual cash flows for premiums received in the period (and any related cash flows paid such as insurance acquisition cash flows and insurance premium taxes)

• The expected cash flow estimates at the beginning of the period and the actual incurred amounts of insurance service expenses in the period (excluding insurance acquisition expenses)

Experience adjustments relating to current or past service are recognized in profit or loss. For incurred claims (including incurred but not reported) and other incurred insurance service expenses, experience adjustments always relate to current or past service. They are included in profit or loss as part of insurance service expenses. Experience adjustments relating to future service are included in the LRC by adjusting the CSM. The release of the CSM depends on whether the contract does not participate, participates indirectly, or directly participates in the performance of the specified underlying items. At the end of each reporting period, the Company re-estimates the LRC fulfillment cash flows, updating for changes in assumptions relating to financial and non-financial risks.

Adjustments to the CSM

The following changes in fulfilment cash flows are considered to be related to future service and adjust (or 'unlock') the CSM of the Company of insurance contracts:

• Experience adjustments relating to the premiums received in the period that relate to future service, and any related cash flows such as insurance acquisition cash flows and premium-based taxes measured at the 'locked in' discount rates applicable when the contracts in the Company were initially recognized.

• The change in the estimate of the present value of expected future cash flows in the liability for remaining coverage, related to non-financial variables, measured at the 'locked in' discount rates applicable when the contracts in the Company were initially recognized. All financial variables are locked in at initial recognition.

• Changes in the risk adjustment for non-financial risk relating to future service. The Company has elected not to disaggregate the change in the risk adjustment for non-financial risk between:

• a change related to non-financial risk and
• the effect of the time value of money and changes in the time value of money.
• Differences between the amount of investment components that were expected to be payable in the period and the amount of investment components that became payable. The amount of investment components expected to be payable in the period is measured at the discount rates applicable before it became payable.

The following adjustments do not relate to future service and thus do not adjust the CSM:

• Changes in fulfillment cash flows for the effect of the time value of money and the effect of financial risk
• Changes in the fulfillment cash flows relating to the LIC.

• Experience adjustments relating to insurance service expenses (excluding insurance acquisition cash flows)

Any further increases in fulfillment cash flows relating to future coverage are recognized in profit or loss as they occur, increasing the loss component of the Company of insurance contracts. Any subsequent decreases in fulfilment cash flows related to future coverage do not adjust the CSM until the loss component of the Company is fully reversed through profit or loss. At the end of the reporting period, the carrying amount of the CSM for a Company of insurance contracts without direct participating features is the carrying amount at the beginning of the period adjusted for:

• The effect of any new contracts added to the Company.
• Interest accreted on the carrying amount of the CSM measured at the discount rates determined at initial recognition.
• The changes in fulfilment cash flows related to future service, except:
• Increases in fulfilment cash flows that exceed the carrying amount of the CSM, giving rise to a loss that results in the Company of contracts becoming onerous or more onerous.
• Decreased fulfilment cash flows that reverse a previously recognized loss on a Company of onerous contracts.

• The effect of any currency exchange differences on the CSM
• The amount recognized as insurance revenue because of the transfer of insurance contract services in the period, determined by the allocation of the CSM remaining at the end of the reporting period over the current and remaining coverage period. An amount of the CSM is released to profit or loss in each period during which the insurance contract services are provided. In determining the amount of the CSM to be released in each period, the Company follows three steps:
• Determine the total number of coverage units in the Company. The amount of coverage units in the Company is determined by considering the quantity of benefits provided under the contract and the expected coverage period for each contract.
• Allocate the CSM at the end of the period (before any of it is released to profit or loss to reflect the insurance contract services provided in the period) equally to each of the coverage units provided in the current period and expected to be provided in the future.
• Recognize in profit or loss the amount of CSM allocated to the coverage units provided during the period.

The number of coverage units changes as insurance contract services are provided, contracts expire, lapse or surrender and new contracts are added to the Company. The total number of coverage units depends on the expected duration of the obligations that the Company has from its contracts. These can differ from the legal contract maturity because of the impact of policyholder behaviour and the uncertainty surrounding future insured events. By determining the number of coverage units, the Company exercises judgment in estimating the likelihood of insured events occurring and policyholder behaviour to the extent that they affect the expected period of coverage in the Company, the different levels of service offered across periods, and the 'quantity of benefits' provided under a contract.

2 **Premium Allocation Approach**

Insurance contracts

This is a simplification of the general model. The Company applies the PAA to the measurement of Company life and non-life insurance contracts with a coverage period of each contract in the group of one year or less.

Contracts with a coverage period above one year which are not immediately eligible for the PAA, were subjected to PAA eligibility by assessing the expected LRC cashflows under both the PAA and General Model approaches. However, there is no material difference in the measurement of the liability for remaining coverage between PAA and the general model, therefore, these qualified for PAA.

On initial recognition, the Company measures the carrying amount of the Liability for remaining coverage for insurance contracts held as the premiums received - Gross Written premiums (which will be unearned at the start) less the acquisition costs. The Company has determined that there is no significant financing component in group life and non-life insurance contracts with a coverage period of one year or less. The Company does not discount the liability for remaining coverage to reflect the time value of money and financial risk for such insurance contracts.

At subsequent measurement, the LRC is effectively the unearned premium reserve (UPR) under IFRS 4 less the deferred acquisition costs (DAC). Unlike IFRS 4, DAC will not be presented as an asset under IFRS 17. It is instead reflected in the overall insurance contract liability for remaining coverage, without being identified as a separate component in the balance sheet.

Premium Experience Adjustment : Where premium experience adjustments relate to current/ past service and are treated at the end of the period, this will be immediately recognized in the P&L as insurance revenue.

Insurance acquisition cash flows

Insurance acquisition cash flows arise from the costs of selling, underwriting, and starting a group of insurance contracts that are directly attributable to the portfolio of insurance contracts to which the Company belongs. These include direct and indirect costs incurred in originating insurance contracts, including cashflows related to unsuccessful efforts to obtain new business.

Under the PAA, an entity can choose to immediately expense insurance acquisition cash flows in the P or L when incurred if and only if each insurance contract in a Company has a coverage period of one year or less. LASACO has opted not to expense acquisition cash flows immediately when incurred. Alternatively, an entity can recognize insurance acquisition cash flows in the measurement of liability for remaining coverage (LRC) and amortize insurance acquisition cash flows in the P or L (systematically - in line with earning pattern of premium revenue or passage of time, with the former being the method adopted by LASACO.

The existing IFRS 4 approach is to recognize separate deferred acquisition cost (DAC) assets for costs associated with writing new insurance contracts (e.g., commissions paid to brokers). Under IFRS 17, if acquisition costs are paid before the related insurance group is recognized, an entity shall recognize an asset. These assets are derecognized when the group of insurance contracts are recognized. If insurance acquisition cash flows are expected to be paid after the related group is recognized, then they are included as part of the measurement of insurance contracts (LRC). IFRS 17 allows for the deferral of acquisition costs to smooth out the recognition of profits. Paid acquisition costs are an asset that is amortized (or derecognized) when they are included in the measurement of the related Company of insurance contracts.

LASACO has chosen to defer all insurance acquisition cash flows and recognize them over the coverage period of contracts or groups they are attributed. Therefore, acquisition costs and related revenue are recognized over the same periods and in the same pattern, based on the passage of time. It must be noted that IFRS 17 requires allocation to future renewals if the acquisition cash flows are judged to support future renewals. Also the expensing acquisition costs policy choice only applies to contracts with a coverage period of one year or less. For contracts measured under PAA in the Company, insurance acquisition costs comprise of costs:

• that are directly attributable to individual contracts or groups of contracts in a portfolio belongs; with the costs being allocated to the group on a systematic and rationale method e.g., Activity-Based Costing method or based on GWP proportions or claims cost, etc.

3 **Onerous contracts**

The Company considers an insurance contract to be onerous if the expected fulfillment cash flows allocated to the contract, any previously recognized acquisition cash flows, and any cash flows arising from the contract at the date of initial recognition in total result in a net cash outflow.

On initial recognition, the onerous assessment is done on an individual contract level assessing future expected cash flows on a probability-weighted basis including a risk adjustment for non-financial risk. Contracts expected on initial recognition to be loss-making are grouped and such groups are measured and presented separately. Once contracts are allocated to a group, they are not reallocated to another group, unless they are substantively modified.

On initial recognition, the CSM of the group of onerous contracts is nil and the group's measurement consists entirely of fulfillment cash flows. A net outflow expected from a group of contracts determined to be onerous is considered to be the group's 'loss component'. It is initially calculated when the group is first considered to be onerous and is recognized at that date in profit or loss. The amount of the group's loss component is tracked for presentation and subsequent measurement. After the loss component is recognized, the Company allocates any subsequent changes in fulfillment cash flows of the LRC on a systematic basis between the loss component and the LRC excluding the loss component. For groups of onerous contracts, without direct participating features, the Company uses locked-in discount rates. They are determined at initial recognition to calculate the changes in the estimate of future cash flows relating to future service (both changes in a loss component and reversals of a loss component). For all issued contracts, other than those accounted for applying the PAA, the subsequent changes in the fulfillment cash flows of the LRC to be allocated are:

- Insurance finance income or expense
- Changes in risk adjustment for non-financial risk recognized in profit or loss representing release from risk in the period.
- Estimates of the present value of future cash flows for claims and expenses released from the LRC because of incurred insurance service expenses in the period.

The Company determines the systematic allocation of insurance service expenses incurred based on the percentage of loss component to the total fulfillment cash outflows included in the LRC, including the risk adjustment for non-financial risk, excluding any investment component amount. For contracts that are measured under PAA, the assumption is that there are no onerous contracts at initial recognition unless facts and circumstances indicate otherwise. If the measurement of the LIC results in a loss-making group, this does not translate to the LRC being onerous. In this case, the group will be assessed as to whether its LRC will be similar to the incurred experience and hence considered to be onerous. For example, actions taken to improve profitability on the fire portfolio which has been historically loss-making may indicate that the LRC will have a different loss experience. If facts and circumstances indicate that a group of contracts is onerous during the coverage period, the onerous liability is calculated as the difference between:

- the carrying amount of the liability for remaining coverage; and
- the FCF that relates to remaining coverage is similar to what is needed under the GMM. This difference is recognized as a loss and shall increase the liability for remaining coverage.

I Measurement of Reinsurance contracts held

I.i Recognition

Proportional reinsurance contracts held will be first recognized on the later of the beginning of the coverage period of the reinsurance contract or the date that the first underlying insurance contract in the treaty is initially recognized. For example, if we enter a surplus fire reinsurance contract on 1 January 2022 and the first fire insurance policy in the treaty is written in February 2022, then the date of recognition of the surplus reinsurance contract will be February 2022. Though the contract agreement is in place in January, cashflows on the contract don't start until February. Non-proportionate reinsurance coverage will be recognized at the beginning of the coverage period of the contract.

I.ii Reinsurance contracts held measured under the PAA

All reinsurance contracts with contract boundaries not exceeding one year are automatically considered to meet PAA eligibility. Most of the Company's Surplus reinsurance contracts are immediately eligible for PAA as they are written on a clean-cut basis. At the end of the period, the reinsurer withdraws from the contract and the reinsurance-held portfolio (including outstanding recoveries and ceded portion of unexpired premiums) is transferred to a new reinsurer. A smaller number of surplus reinsurance contracts and all Facultative contracts are written on an underwriting year basis. This basis extends the contract boundary beyond one year as coverage of contracts ceded to the treaty may continue even after the underwriting year has ended.

Where the reinsurance contracts held to cover a group of onerous underlying insurance contracts, the Company adjusts the carrying amount of the asset for remaining coverage and recognizes a gain when, in the same period, it reports a loss on initial recognition of an onerous group of underlying insurance contracts or on the addition of onerous underlying insurance contracts to a group. The recognition of this gain results in the recognition of the loss recovery component of the asset for the remaining coverage of a group of reinsurance contracts held.

I.iii Reinsurance contracts held measured under the General Model

The Company's quota share life reinsurance and the facultative reinsurance contracts held are accounted for by applying the measurement requirements of the General Model for estimates of cash flows and discount rates. The Company measures the reinsurance contracts held and the underlying insurance contracts issued using consistent assumptions. The Company includes in the estimates of the present value of expected future cash flows for a group of reinsurance contracts held the effect of any risk of non-performance by the reinsurer, including the effects of any collateral and losses from disputes. The effect of the non-performance risk of the reinsurer is assessed at each reporting date. In determining the asset representing the risk adjustment for non-financial risk transferred to the reinsurer, the Company assesses the amount of risk transferred by the Company to the reinsurer by calculating the risk adjustment of the underlying contracts before and after the effect of the reinsurance contracts held. The difference is recognized as the asset representing the risk adjustment reinsured.

On initial recognition, the Company recognizes any net cost or net gain on purchasing the group of reinsurance contracts held as a reinsurance CSM, unless the net cost of purchasing reinsurance coverage relates to events that occurred before the purchase of the group of reinsurance contracts, where the Company recognizes such a cost immediately in profit or loss as an expense as part of insurance service result. For a group of reinsurance contracts held, on initial recognition of an underlying onerous group of insurance contracts or on the addition of onerous underlying insurance contracts to a group, the Company establishes a loss recovery component and, as a result, recognizes a gain in profit or loss. The amount of the loss recovery component adjusts the CSM of a group of reinsurance contracts held. It is calculated at an amount equal to the loss recognized on the underlying insurance contracts multiplied by the percentage of claims on the underlying insurance contracts the Company expects to recover from the group of reinsurance contracts held.

After initial recognition, the carrying amount of the loss-recovery component shall not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the entity expects to recover from the group of reinsurance contracts held. Reversal of the loss recovery component adjusts the CSM and the risk adjustment of the group of reinsurance contracts held. After establishing a reinsurance loss recovery component, except for further additions of onerous contracts to the underlying group, its amount is adjusted for:

• Changes in fulfillment cash flows of underlying insurance contracts related to future service and do not adjust the CSM of their respective group

• Loss recovery component reversals to the extent those reversals are not changes in the fulfillment cash flows of the group of reinsurance contracts held.

These adjustments are calculated and presented in profit or loss. The Company adjusts the carrying amount of the CSM of a group of reinsurance contracts held at the end of a reporting period to reflect changes in the fulfillment cash flows applying the same approach as for insurance contracts issued, except when the underlying contract is onerous and the change in the fulfillment cash flows for underlying insurance contracts is recognized in profit or loss by adjusting the loss component. The respective changes in reinsurance contracts held are also recognized in profit and loss (adjusting the loss recovery component).

J Modification and Derecognition

The Company derecognizes the original contract and recognizes the modified contract as a new contract if the terms of insurance contracts are modified and the following conditions are met:

• If the modified terms were included at contract inception the Company would have concluded that the modified contract:

• Is outside of the scope of IFRS 17

• Results in a different insurance contract due to separating components from the host contract

- Results in a substantially different contract boundary
- Would be included in a different Company of contracts.
- The original contract met the definition of an insurance contract with direct participating features, but the modified contract no longer meets the definition.
- The original contract was accounted for applying the PAA, but the modified contract no longer meets the PAA eligibility criteria for that approach.

If the contract modification meets any of the conditions, the Company performs all assessments applicable at initial recognition, derecognizes the original contract, and recognizes the new modified contract as if it was entered for the first time. If the contract modification does not meet any of the conditions, the Company treats the effect of the modification as changes in the estimates of fulfillment cash flows. For insurance contracts accounted for applying the General Model, a change in the estimates of fulfillment cash flows results in a revised end-of-period CSM (before the current period allocation).

A portion of the revised end-of-period CSM is allocated to the current period, as is the revised CSM amount applied from the beginning of the period but reflecting the change in the coverage units due to the modification during the period. This portion is calculated using updated coverage unit amounts determined at the end of the period and weighted to reflect the fact that the revised coverage existed for only part of the current period.

For insurance contracts accounted for applying the PAA, the Company adjusts insurance revenue prospectively from the time of the contract modification. The Company derecognizes an insurance contract when, and only when the contract is:

- Extinguished (when the obligation specified in the insurance contract expires or is discharged or canceled)
- Modified and the derecognition criteria are met.
- When the Company derecognizes an insurance contract from within a Company of contracts, it:
- Adjusts the fulfillment cash flows allocated to the Company to eliminate the present value of the future cash flows and risk adjustment for nonfinancial risk relating to the rights and obligations that have been derecognized from the Company.
- Adjusts the CSM of the Company for the change in the fulfillment cash flows (unless it relates to the increase or reversal of the loss component).
- Adjusts the number of coverage units for expected remaining insurance contract services to reflect the coverage units derecognized from the Company and recognizes in profit or loss in the period the amount of CSM based on that adjusted number.

When the Company transfers an insurance contract to a third party and that results in derecognition, the Company adjusts the CSM of the Company from which the contract has been derecognized for the difference between the change in the carrying amount of the Company caused by the derecognized fulfillment cash flows and the premium charged by the third party for the transfer.

When the Company derecognizes an insurance contract due to modification, it derecognizes the original insurance contract and recognizes a new one. The Company adjusts the CSM of the Company from which the modified contract has been derecognized for the difference between the change in the carrying amount of the Company as a result of an adjustment to fulfillment cash flows due to derecognition and the premium the Company would have charged had it entered into a contract with equivalent terms as the new contract at the date of the contract modification, less any additional premium charged for the modification.

K **Presentation**

The Company has presented separately in the consolidated statement of financial position the carrying amount of portfolios of insurance contracts that are assets and those that are liabilities, and the portfolios of reinsurance contracts held that are assets and those that are liabilities. The Company disaggregates the amounts recognized in the consolidated statement of profit or loss and other comprehensive income into an insurance service result sub-total that comprises insurance revenue and insurance service expenses and, separately from the insurance service result, the 'net insurance finance income or expenses' sub-total.

The Company has voluntarily included the net insurance finance income or expenses line in another subtotal: net insurance and investment result, which also includes the income from all the assets backing the Group's insurance liabilities. The Company includes any assets for insurance acquisition cash flows recognized before the corresponding group of insurance contracts is recognized in the carrying amount of the related portfolios of insurance contracts issued. The Company separately presents income or expenses from reinsurance contracts held from the expenses or income from insurance contracts issued.

3.1 **Insurance Revenue**

For the General Model, The Company insurance revenue depicts the provision of services arising from a group of insurance contracts at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those services. Insurance revenue from a group of insurance contracts is therefore, the relevant portion for the period of the total consideration for the contracts, (i.e., the amount of premiums paid to the Company adjusted for financing effect (the time value of money) and excluding any investment components). As the Company provides insurance services under a group of insurance contracts issued, it reduces its LRC and recognizes insurance revenue, which is measured by the amount of consideration the Company expects to be entitled to in exchange for those services.

For groups of insurance contracts measured under the General Model, insurance revenue consists of the sum of the changes in the LRC due to:

• The insurance service expenses incurred in the period measured at the amounts expected at the beginning of the period, excluding:

• Amounts allocated to the loss component.
• Repayments of investment components.
• Amounts that relate to transaction-based taxes collected on behalf of third parties.
• Insurance acquisition expenses.
• Amounts relating to risk adjustment for non-financial risk.
• The change in the risk adjustment for non-financial risk, excluding:
• Changes that relate to future service that adjust the CSM.
• Amounts allocated to the loss component.
• The amount of CSM for the services provided in the period.
• The amount of CSM for the services provided in the period.
• Other amounts, such as experience adjustments for premium receipts that relate to current or past service.

if any Insurance revenue also includes the portion of premiums that relate to recovering those insurance acquisition cash flows included in the insurance service expenses in each period. Both amounts are measured in a systematic way on the basis of the passage of time. For the Premium Allocation Approach (PAA), The insurance revenue for the period is the amount of expected premium receipts (excluding any investment component) allocated to the period. When applying the PAA, the Group recognizes insurance revenue for the period based on the passage of time by allocating expected premium receipts including premium experience adjustments to each period of service. At the end of each reporting period, the Company considers whether there was a change in facts and circumstances indicating a need to change, on a prospective basis, the premium receipt allocation due to changes in the expected pattern of claim occurrence.

3.2 Insurance service expenses

Insurance service expenses arising from a Company of insurance contracts issued comprises:

• Changes in the LIC related to claims and expenses incurred in the period excluding repayment of investment components.
• Changes in the LIC related to claims and expenses incurred in prior periods (related to past service)
• Other directly attributable insurance service expenses incurred in the period.
• Amortization of insurance acquisition cash flows, which is recognized at the same amount in both insurance service expenses and insurance contract revenue.
• Loss component of onerous groups of contracts initially recognized in the period.
• Changes in the LRC related to future service that do not adjust the CSM, because they are changes in the loss components of onerous group of contracts.

3.3 Income or expenses from reinsurance contracts held.

The Company presents income or expenses from a group of reinsurance contracts held and reinsurance finance income or expenses in profit or loss for the period separately. Income or expenses from reinsurance contracts held are split into the following two amounts:

- Amount recovered from reinsurers.

An allocation of the premiums paid. The Company presents cash flows that are contingent on claims as part of the amount recovered from reinsurers. Ceding commissions that are not contingent on claims of the underlying contracts are presented as a deduction in the premiums to be paid to the reinsurer which is then allocated to profit or loss.

The Company establishes a loss recovery component of the asset for the remaining coverage for a group of reinsurance contracts held. This depicts the recovery of losses recognized on the initial recognition of an onerous group of underlying insurance contracts or on the addition of onerous underlying insurance contracts to a group. The loss recovery component adjusts the CSM of the group of reinsurance contracts held. The loss recovery component is then adjusted to reflect:

- Changes in the fulfillment cash flows of the underlying insurance contracts that relate to future service and do not adjust the CSM of the respective group to which the underlying insurance contracts belong.
- Reversals of loss recovery component to the extent those reversals are not changes in the fulfillment cash flows of the Company of reinsurance contracts held.
- Allocations of the loss recovery component against the amounts recovered from reinsurers reported in line with the associated reinsured incurred claims or expenses.

3.4 Insurance finance income and expenses

Insurance finance income or expenses present the effect of the time value of money and the change in the time value of money, together with the effect of financial risk and changes in financial risk of a group of insurance contracts and a group of reinsurance contracts held. The use of OCI presentation for insurance finance income and expenses The Company has an accounting policy choice to present all the period's insurance finance income or expenses in profit or loss or to split the amount between profit or loss and other comprehensive income (OCI).

When considering the choice of presentation of insurance finance income or expenses, the company examines the assets held for that portfolio and how they are accounted for. Currently, the Company presents all the period's insurance finance income or expenses in the profit or loss. The company may reassess its accounting policy choice during the duration of a group of direct participating contracts when there is a change in whether the Group holds the underlying items or no longer holds the underlying items. When such change occurs, the company includes the amount accumulated in OCI by the date of the change as a reclassification adjustment to profit or loss spread across the period of change and future periods based on the method and on assumptions that applied immediately before the date of the change. Comparatives are not restated. When applying the PAA, the Company does not discount the liability for remaining coverage to reflect the time value of money and financial risk for group life and non-life policies with a coverage period of one year or less. For those claims that the company expects to be paid within one year or less from the date of incurrence, the Company does not adjust future cash flows for the time value of money and the effects of financial risks. However, claims expected to take more than one year to settle are discounted by applying the discount rate at the time the incurred claim is initially recognized.

4 New standards, interpretations and amendments

(a) **New standards, interpretations and amendments adopted from 1 January 2024**

The following amendments are effective for the period beginning 1 January 2024:

- Supplier Finance Arrangements (Amendments to IAS 7 & IFRS 7);
- Lease Liability in a Sale and Leaseback (Amendments to IFRS 16);
- Classification of Liabilites as Current or Non-Current (Amendments to IAS 1); and
- Non-current Liabilities with Covenants (Amendments to IAS 1).

These amendments to various IFRS Accounting Standards are mandatorily effective for reporting periods beginning on or after 1 January 2024.

Supplier Finance Arrangements (Amendments to IAS 7 & IFRS 7)

On 25 May 2023, the IASB issued Supplier Finance Arrangements, which amended IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments:Disclosures.

The amendments require entities to provide certain specific disclosures (qualitative and quantitative) related to supplier finance arrangements. The amendments also provide guidance on characteristics of supplier finance arrangements.

Lease Liability in a Sale and leaseback (Amendments to IFRS 16);

On 22 September 2022, the IASB issued amendments to IFRS 16 — Lease Liability in a Sale and Leaseback (the Amendments).

Prior to the Amendments, IFRS 16 did not contain specific measurement requirements for lease liabilities that may contain variable lease payments arising in a sale and leaseback transaction. In applying the subsequent measurement requirements of lease liabilities to a sale and leaseback transaction, the Amendments require a seller-lessee to determine 'lease payments' or 'revised lease payments' in a way that the seller-lessee would not recognise any amount of the gain or loss that relates to the right of use retained by the seller-lessee.

These amendments had no effect on the financial statements of the Company.

Classification of Liabilities as Current or Non-Current and Non-current Liabilities with Covenants (Amendments to IAS 1)

The IASB issued amendments to IAS 1 in January 2020 Classification of Liabilities as Current or Non-current and subsequently, in October 2022 Non-current Liabilities with Covenants.

The amendments clarify the following:

- An entity's right to defer settlement of a liability for at least twelve months after the reporting period must have substance and must exist at the end of the reporting period.
- If an entity's right to defer settlement of a liability is subject to covenants, such covenants affect whether that right exists at the end of the reporting period only if the entity is required to comply with the covenant on or before the end of the reporting period.
- The classification of a liability as current or non-current is unaffected by the likelihood that the entity will exercise its right to defer settlement.
- In case of a liability that can be settled, at the option of the counterparty, by the transfer of the entity's own equity instruments, such settlement terms do not affect the classification of the liability as current or non-current only if the option is classified as an equity instrument.

These amendments have no effect on the measurement of any items in the financial statements of the Company. However, the classification of certain borrowings has changed from non- current to current as result of the application of the amendments for the current financial year as well as the comparative period.

(b) **New standards, interpretations and amendments not yet effective**

There are a number of standards, amendments to standards, and interpretations which have been issued by the IASB that are effective in future accounting periods that the Company has decided not to adopt early.

The following amendments are effective for the period beginning 1 January 2025:

- Lack of Exchangeability (Amendment to IAS 21 the Cfects of Changes in Foreign Exchange Rates);

The following amendments are effective for the period beginning 1 January 2026:

- Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 Financial instruments and IFRS 7)
- Contracts Referencing Nature-dependent Electricity(Amendments to IFRS 9 and IFRS 7)

The following amendments are effective for the period beginning 1 January 2027:

- IFRS 18 Presentation and Disclosure in Financial Statements
- IFRS 19 Subsidiaries without Public Accountability:Disclosures.

The Company is currently assessing the impact of these new accounting standards and amendments.

IFRS 18 Presentation and Disclosure in Financial Statements, which was issued by the IASB in April 2024 supersedes IAS 1 and will result in major consequential amendments to IFRS Accounting Standards including IAS 8 Basis of Preparation of Financial Statements (renamed from Accounting Policies, Changes in Accounting Estimates and Errors). Even though IFRS 18 will not have any effect on the recognition and measurement of items in the financial statements, it is expected to have a significant effect on the presentation and disclosure of certain items.

These changes include categorisation and sub-totals in the statement of profit or loss, aggregation/disaggregation and labelling of information, and disclosure of management-defined performance

The Company does not expect to be eligible to apply IFRS 19.

UN AUDITED CONSONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2026

	NOTES	Group 2026 N'000	Group 2025 N'000	Company 2026 N'000	Company 2025 N'000
Assets					
Cash and cash equivalents	4	33,760,584	14,817,185	32,760,578	13,517,583
Financial assets:					
- At fair value through profit or loss	5.1	677,733	357,452	383,067	357,452
- At fair value through other comprehensive income	5.2	859,482	859,449	859,482	859,449
- At amortised cost	5.3	1,152,814	2,133,084	944,675	2,133,084
Trade Receivable	6	1,064,468	1,009,943	1,064,468	1,009,943
Reinsurance contract assets	7	5,470,878	4,016,777	5,470,878	4,016,777
Other receivables and prepayments	8	484,744	356,357	476,211	272,212
Investment properties	9	10,562,130	10,562,129	10,412,130	10,412,130
Investment in subsidiaries	10	-	-	1,000,000	1,000,000
Statutory deposit	11	2,535,150	535,150	2,535,150	535,150
Intangible asset	12	165,183	267,575	164,283	266,675
Property, plant and equipment	13	4,492,421	4,324,470	4,492,421	4,324,470
Total assets		**61,225,587**	**39,239,571**	**60,563,343**	**38,704,925**
Liabilities and shareholders' funds					
Liabilities					
Insurance contract liabilities	14	17,412,726	15,261,325	17,412,726	15,261,325
Other technical liabilities	15	1,520,229	1,329,669	1,520,229	1,329,669
Other payables and accruals	16	1,077,721	1,041,593	1,072,114	1,066,695
Income tax liabilities	17	559,144	296,863	470,641	211,329
Deferred tax liabilities	18	949,901	949,901	901,994	901,994
Total liabilities		**21,519,721**	**18,879,351**	**21,377,704**	**18,771,012**
Equity					
Share capital	19	10,159,954	5,541,793	10,159,954	5,541,793
Share premium	20	23,372,952	9,889,303	23,372,952	9,889,303
Statutory contingency reserve	21	4,828,131	4,255,054	4,828,131	4,255,054
Retained earnings	22	(39,322)	(710,081)	(559,549)	(1,136,388)
Fair value through other comprehensive income	23	434,535	434,535	434,535	434,535
Assets revaluation reserve	24	949,616	949,616	949,616	949,616
Shareholders' funds		**39,705,866**	20,360,220	39,185,639	**19,933,913**
Total liabilities and shareholders' funds		**61,225,587**	**39,239,571**	**60,563,343**	**38,704,925**
		-	-	-	-

The financial statements were approved and authorised for issue by the Board of Directors on 15th September, 2026 and signed on its behalf by:



…….

Ademoye Shobo

Managing Director/CEO

FRC/2026/PRO/DIR/003/017154



…….

Olubukola Moradeyo

Chief Finance Officer

FRC/2021/PRO/00000024062

The accompanying notes form an integral part of these financial statements.

UNAUDITED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 SEPTEMBER 2026

	NOTE	Group 2026 N'000	Group 2025 N'000	Company 2026 N'000	Company 2025 N'000
Insurance revenue	25	23,806,720	22,956,224	23,806,720	22,956,224
Insurance service expenses	26	(15,448,261)	(20,006,889)	(15,448,261)	(20,006,889)
Net expenses from reinsurance contract held	27	(2,515,545)	(5,384,989)	(2,515,545)	(5,384,989)
Insurance service results		**5,842,914**	(2,435,654)	**5,842,914**	**(2,435,654)**
Interest revenue calculated using effective interest method	30.1	2,326,546	2,577,173	2,177,034	2,471,841
Dividend income	30.2	73,024	96,712	63,278	96,712
Net fair value gain	31	210,874	66,476	166,074	66,476
Net foreign exchange loss	32	(136,195)	(25,196)	(136,195)	(25,196)
Net Investment result		**2,474,249**	**2,715,165**	**2,270,191**	**2,609,833**
Net finance income(expenses) from Insurance contract	28	(497,293)	(592,595)	(497,293)	(592,595)
Net finance income (expense)from reinsurance contra	29	48,607	356,611	48,607	356,611
Net insurance finance expenses		**(448,686)**	**(235,984)**	**(448,686)**	**(235,984)**
Net insurance and investment results		**7,868,477**	**43,527**	**7,664,419**	**(61,805)**
Other operating income	33	32,830	812,743	25,959	419,553
Gain/(Loss) on disposal of					
Operating expenses	34	(6,298,809)	(5,573,141)	(6,227,707)	(5,269,809)
Profit before taxation		**1,602,498**	**(4,716,871)**	**1,462,671**	**(4,912,061)**
Income tax	17	(354,703)	-94,819	(312,754)	-84,043
Profit after taxation		**1,247,795**	**(4,811,690)**	**1,149,917**	**(4,996,104)**
Other Comprehensive income:					
Items within OCI that may be reclasified to the profit o		-		-	-
Items within the OCI that will be be reclassified to the profit		-			
Revaluation surplus on property,plant and equipment		-	-	-	-
Other Comprehensive income		-	-	-	-
Total comprehensive income for the year		1,247,795	(4,811,690)	1,149,917	(4,996,104)
Earning per shares/(Loss)		11.26	(43.41)	10.37	(45.08)

The accompanying notes form an integral part of these financial statements.

LASACO ASSURANCE PLC
STATEMENT OF CHANGES IN EQUITY - PARENT
FOR THE YEAR ENDED 30 SEPTEMBER 2026

	Share capital	Share premium	Deposit for shares	Contingency reserve	FVOCI Reserve	Asset revaluation reserve	Retained earnings	Total equity
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Balance 1 January, 2025	916,793	3,690,991	-	3,568,838	437,340	822,792	2,542,270	11,979,024
Total comprehensive income								
for the year:								
Profit for the year	-	-	-	-	-	-	(2,992,442)	(2,992,442)
Transfer to contingency reserve	-	-	-	686,216	-	-	(686,216)	-
Changes in valuation of gratuity	-	-	-	-	-		-	-
Changes in valuation of land and building	-	-	-	-	-	126,824	-	126,824
Fair value gain on FVOCI	-	-	-	-	(2,805)	-	-	(2,805)
Total comprehensive income for the year	-	-	-	686,216	(2,805)	126,824	(3,678,658)	(2,868,423)
Transactions with owners, recorded directly in equity	4,625,000	6,198,312	-					10,823,312
Dividend paid during the year	-	-	-	-	-	-	-	-
Balance 31 December, 2025	5,541,793	9,889,303	-	4,255,054	434,535	949,616	(1,136,388)	19,933,913
Balance 1 January, 2026	5,541,793	9,889,303	-	4,255,054	434,535	949,616	(1,136,388)	19,933,913
Total comprehensive income	-	-	-	-	-	-	-	
for the year:	-	-	-	-	-	-	-	
Profit for the year	-	-	-	-	-	-	1,149,917	1,149,917
Transfer to contingency reserve	-	-	-	573,077	-	-	(573,077)	-
Changes in valuation of land and building	-	-	-	-	-	-	-	-
Fair value gain on FVOCI	-	-	-	-	-	-	-	-
Transactions with owners, recorded directly in equity	4,618,161	13,483,649						18,101,810
Dividend paid during the year	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
Balance 30 September 2026	10,159,954	23,372,952	-	4,828,131	434,535	949,616	(559,548)	39,185,639

The accompanying notes form an integral part of these financial statements.

LASACO ASSURANCE PLC
STATEMENT OF CHANGES IN EQUITY - GROUP
FOR THE YEAR ENDED 30 SEPTEMBER 2026

	Share capital	Share premium	Deposit for shares	Contingency reserve	FVOCI Reserve	Asset revaluation reserve	Retained earnings	Total equity
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Balance 1 January, 2025	916,793	3,690,991	-	3,568,838	437,340	822,792	2,825,852	12,262,606
Total comprehensive income	-	-	-	-	-	-	-	-
for the year:	-	-	-	-	-	-	-	-
Loss for the year	-	-	-	-	-	-	(2,849,717)	(2,849,717)
Transfer to contingency reserve	-	-	-	686,216	-	-	(686,216)	-
Changes in valuation of gratuity	-	-	-	-	-		-	-
Changes in valuation of land and building	-	-	-	-	-	126,824	-	126,824
Fair value gain on FVOCI	-	-	-	-	(2,805)	-	-	(2,805)
Transactions with owners, recorded directly in equity	4,625,000	6,198,312	-	-	-	-	-	10,823,312
Dividend paid during the year	-	-	-	-	-	-	-	-
Balance 31 December, 2025	5,541,793	9,889,303	-	4,255,054	434,535	949,616	(710,081)	20,360,220
Balance 1 January, 2026	5,541,793	9,889,303	-	4,255,054	434,535	949,616	(710,081)	20,360,220
Total comprehensive income	-	-	-	-	-	-	-	
for the year:	-	-	-	-	-	-	-	
Profit for the year	-	-	-	-	-	-	1,247,795	1,247,795
Transfer to contingency reserve	-	-	-	573,077	-	-	(573,077)	-
Changes in valuation of land and building	-	-	-	-	-	-	-	-
Fair value gain on FVOCI	-	-	-	-	-	-	-	-
Transactions with owners, recorded directly in equity	4,618,161	13,483,649						18,101,810
Dividend paid during the year	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
Balance 30 September 2026	10,159,954	23,372,952	-	4,828,131	434,535	949,616	(35,363)	39,705,867

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 SEPTEMBER 2026

		Group	Group	Company	Company
		2026	2025	2026	2025
Cash flows from operating activities:	**Notes**	**N'000**	**N'000**	**N'000**	**N'000**
Premium received from policy holders	6b	25,926,885	29,039,296	25,926,885	29,039,296
Premium received from deposit administration		-	-		-
Reinsurance premium paid	7.2	(7,671,280)	(10,559,352)	(7,671,280)	(10,559,352)
Claims paid and other expenses	14.1	(9,927,803)	(18,577,197)	(9,927,803)	(18,577,197)
Deposit administration withdrawals		-	(655,126)		(655,126)
Claims received from Co Insurers	15	302,642	2,209,708	302,642	2,209,708
Rental and other income		-	192,652		168,562
Reinsurance claims and expenses received	7.1	3,750,240	3,296,246	3,750,240	3,296,246
Commission paid	14.1	(2,578,658)	(5,510,621)	(2,578,658)	(5,510,621)
Deposit received in advance	15	1,197,058	1,307,238	1,197,058	1,307,238
Other operating income	33		-		-
Acquisition and other claim expenses paid	14.1	(5,079,190)	(3,456,227)	(5,079,190)	(3,456,227)
Dividend transferred to SEC			(154,680)		(154,680)
Cash paid to and on behalf of employees	34	(1,465,352)	(2,094,957)	(1,464,943)	(2,094,957)
Other operating cash payments	34	(4,778,932)	(4,437,266)	(4,817,475)	(4,106,117)
Company income tax paid	17	(92,426)	(244,106)	(53,443)	(244,106)
Net cash absorbed from operating activities		(416,816)	(9,644,392)	(415,967)	(9,337,333)
Cash flows from investing activities:					
Proceeds from redemption of Bonds		-	779,768	-	779,768
Purchase of Bonds		-	(169,876)	-	(169,876)
Proceeds from redemption of other amortised cost		-	-	-	-
Purchase of fixed deposits and treasury bills		(208,139)	(993,806)	-	(993,806)
Purchase of assets FVPL		(299,876)		(50,010)	
Proceeds from sales of assets FVPL		-	428,664	-	428,664
Acquisition of investment properties		-	(240,065)	-	(240,065)
Acquisition of intangible assets		-	(104,924)	-	(104,024)
Additional investment in subsidiaries		-	-	-	-
Proceeds from disposal on invstment property	13		694,000		-
Acquisition of property, plant and equipment		(668,815)	(702,472)	(668,815)	(702,472)
Proceeds from disposal on property, plant and equipment		171,860	66,314	171,860	66,314
Interest income	30.1	2,326,546	3,435,606	2,177,034	3,263,656
Dividend Income		73,024	100,025	63,278	100,025
Net cash outflow from investing activities		**1,394,600**	**3,293,234**	**1,693,347**	**2,428,184**
Cash flows from financing activities					
Dividends paid to equity holders		-	-	-	-
Cash from issue of shares		18,101,810	10,823,312	18,101,810	10,823,312
Net cash outflow from financing activities		18,101,810	10,823,312	**18,101,810**	**10,823,312**
Net decrease in cash and cash equivalents		19,079,594	4,472,154	19,379,190	3,914,163
Cash and cash equivalents at beginning of the year		14,817,185	10,345,031	13,517,583	9,603,420
Effect of movements in exchange rates on cash and cash equivalents		(136,195)	-	(136,195)	-
Cash and cash equivalents at end of the year		33,760,584	14,817,185	32,760,578	13,517,583
Represented by:					
Cash and cash equivalents at end of the year		33,760,584	14,817,185	32,760,578	13,517,583

The accompanying notes form an integral part of these financial statements.

4 **Cash and Cash Equivalents**

	Group 30-Sep 2026 N'000	Group 31-Dec 2025 N'000	Company 30-Sep 2026 N'000	Company 31-Dec 2025 N'000
Balances with Local banks	20,423,315	1,545,260	20,377,319	1,427,166
Placement with banks (Note 4(a))	13,365,452	13,300,108	12,411,442	12,118,600
Total cash and cash equivalents	33,788,767	14,845,368	32,788,761	13,545,766
Allowance for credit losses (Note 4(b))	(28,183)	(28,183)	(28,183)	(28,183)
Carrying value of cash and cash equivalents	33,760,584	14,817,185	32,760,578	13,517,583
Current	33,760,584	14,817,185	32,760,578	13,517,583
Non-current	-	-	-	-

Short-term deposits are made for varying periods averaging between 1 - 90 days depending on the immediate cash requirements of the Group. All deposits are subject to an average interest rate of 19%. The carrying amounts disclosed above reasonably approximate fair value at the reporting date.

5 **Financial Assets**

The Company's financial assets are summarised by categories as follows:

Fair value through profit or loss (Note 5.1)	677,733	357,452	383,067	357,452
Fair value through other comprehensive income (Note 5.2)	859,482	859,449	859,482	859,449
Financial assets at amortised cost (Note 5.3)	1,152,814	2,133,084	944,675	2,133,084
	2,690,029	3,349,985	2,187,224	3,349,985
Current	-	-	-	-
Non- current	2,690,029	3,349,985	2,187,224	3,349,985
	2,690,029	3,349,985	2,187,224	3,349,985

5.1 **Financial assets at fair value through profit or loss(Quoted Equity)**

		387,680		
Balance at the beginning of the year	357,452		357,452	387,680
Additions during the year	299,876	93,015	50,010	93,015
Fair value gain/(loss)	228,029	(123,243)	183,229	(123,243)
Disposal	(207,624)		(207,624)	
Balance at the end of the year	677,733	357,452	383,067	357,452

(a) **Fair value through profit or loss**

Management valued the Company's quoted investments at market value which is a reasonable measurement of fair value since the prices of the shares are quoted in an active market. The instruments are measured and evaluated on a fair value basis and fair value is determined by reference to published price quotations in an active market -classified as level 1 in the fair value hierarchy.

5.2 **Fair value through other comprehensive income**

Equity investments measured at FVOCI comprise the following individual investments:

	Group 30-Sep 2026 N'000	Group 31-Dec 2025 N'000	Company 30-Sep 2026 N'000	Company 31-Dec 2025 N'000
Energy & Allied Insurance Pool	574,100	574,100	574,100	574,100
Nigeria Liability Insurance Pool	9,587	9,587	9,587	9,587
WAICA Reinsurance Co. Limited	211,798	211,798	211,798	211,798
Health Care International	63,997	63,997	63,997	63,997
	859,482	859,482	859,482	859,482

(b) **Equity instrument measured at fair value through other comprehensive income**

Balance at the beginning of the year	859,482	859,482	859,482	859,482
Fair value gain/(loss)	-	-	-	-
Balance at the end of the year	859,482	859,482	859,482	859,482

(c) Financial assets at fair value through other comprehensive income (FVOCI) comprise:
- Equity securities which are not held for trading, and which the Company has elected at initial recognition to recognise as FVOCI. These are strategic investments and the Company considers this classification to be more relevant.

The fair value loss in the carrying amount of financial assets at fair value through other comprehensive income (FVOCI) are recognized in other comprehensive income and accumulated under the heading of "Fair value through other comprehensive income reserve".

		Group 30-Sep 2026	Group 31-Dec 2025	Company 30-Sep 2026	Company 31-Dec 2025
5.3	**Financial assets at amortised cost**				
	Government Bonds	882,832	904,697	882,832	904,697
	Fixed deposits and Treasury bills	269,982	1,228,387	61,843	1,228,387
		1,152,814	2,133,084	944,675	2,133,084
a	**Bonds**				
	Balance at the beginning of the year	904,697	1,519,924	904,697	1,519,924
	Additions during the year	0	169,876	-	169,876
	Repayment during the year	(16,530)	(779,768)	(16,530)	(779,768)
	Allowance for credit loss	(5,335)	(5,335)	(5,335)	(5,335)
	Balance at the end of the year	882,832	904,697	882,832	904,697

Management have opted to measure its bonds at amortesed cost in accordance with IFRS 9 with subsequent ECL provisions made in accordance with the standard

b	**Placements above 90 days**				
	Balance at the beginning of the year	1,228,387	235,712	1,228,387	235,712
	Additions during the year	208,139	993,806		993,806
	Reclassification to cash and cash equivalent	(1,166,232)	0	(1,166,232)	-
	Allowance for credit loss	(312)	(1,131)	(312)	(1,131)
	Balance at the end of the year	269,982	1,228,387	61,843	1,228,387

6	**Premium Receivables**	**N'000**	**N'000**	**N'000**	**N'000**
	Balance at the beginning of the year	1,009,943	768,218	1,009,943	768,218
	Gross premium written - Life business Insurance contract	12,279,103	12,151,040	12,279,103	12,151,040
	Gross premium written - General business Insurance contract	15,009,545	18,823,533	15,009,545	18,823,533
	Premium deposit received in the prior year	(1,307,238)	(1,693,552)	(1,307,238)	(1,693,552)
	Premium received during the year	(25,926,885)	(29,039,296)	(25,926,885)	(29,039,296)
	Balance at the end of the year	**1,064,468**	1,009,943	**1,064,468**	**1,009,943**

		Group 30 Sept 2026	Group 31 Dec 2025	Company 30 Sept 2026	Company 31 Dec 2025
7	**Reinsurance contract Assets**	**N'000**	**N'000**	**N'000**	**N'000**
	Asset for remaining coverage	3,677,688	1,929,872	3,677,688	1,929,872
	Asset for incurred claims	1,793,190	2,086,905	1,793,190	2,086,905
		5,470,878	4,016,777	**5,470,878**	**4,016,777**
	Current	5,470,878	4,016,777	5,470,878	4,016,777
	Non-current	-	-	-	-

7.1 **Reconciliation of reinsurance contract assets - Aggregate**

	Assets for remaining coverage		Assets for Incurred claims		30-Sep-26	Assets for remaining coverage		Assets for Incurred claims		31-Dec-25
	Non -Loss component	Loss recovery component	Estimate of present value for future cashflows	Risk adjustment for non financial risks	Total	Non -Loss component	Loss recovery component	Estimate of present value for future cashflows	Risk adjustment for non financial risks	Total
Opening Balance	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Reinsurance contract assets	1,929,872	-	2,010,207	76,698	4,016,777	1,538,213	-	1,756,877	67,357	3,362,447
Net reinsurance asset	1,929,872		2,010,207	76,698	4,016,777	1,538,213		1,756,877	67,357	3,362,447
Allocation of reinsurance premium	(5,923,464)	-	-	-	(5,923,464)	(10,167,693)	-	-	9,667	(10,158,026)
Amounts recoverable for Incurred claims and other expenses	-	-	1,545,499	-	1,545,499	-	-	3,891,199	-	3,891,199
Changes relate to past service- adjustment to ARIC	-	-	1,883,838	(21,419)	1,862,419	-	-	(516,586)	(326)	(516,912)
Net income or expense from reinsurance contracts held	(5,923,464)	-	3,429,337	(21,419)	(2,515,546)	(10,167,693)	-	3,374,613	9,341	(6,783,739)
Reinsurance finance income	-		48,607	-	48,607	-		174,963	-	174,963
Total changes in the statement of comprehensive income	(5,923,464)		3,477,944	(21,419)	(2,466,939)	(10,167,693)		3,549,576	9,341	(6,608,776)
Cash flows in the period:		-								
Reinsurance premium	7,671,280		-	-	7,671,280	10,559,352			-	10,559,352
Reinsurance claim received	-		(3,750,240)	-	(3,750,240)	-		(3,296,246)	-	(3,296,246)
Net cash (outflow)/inflow	7,671,280		(3,750,240)	-	3,921,040	10,559,352		(3,296,246)	-	7,263,106
Closing Balance	**3,677,688**		**1,737,911**	**55,279**	**5,470,878**	**1,929,872**		**2,010,207**	**76,698**	**4,016,777**

7.2 **Reconciliation of general reinsurance contract assets - measured under PAA**

	Asset for remaining coverage		Asset for Incurred claims		30-Sep-26	Asset for remaining coverage		Asset for Incurred claims		31-Dec-25
	Non -Loss recovery	Loss recovery	Estimate of present value for future cashflows	Risk adjustment for non financial risks	Total	Non -Loss recovery	Loss recovery	Estimate of present value for future cashflows	Risk adjustment for non financial risks	Total
Opening balance	N'000	N'000	N'000	N'000	N'000					
Reinsurance contract assets	1,213,834	-	1,083,464	65,732	2,363,030	1,202,508	-	1,037,768	66,058	2,306,334
Reinsurance contract assets	1,213,834	-	1,083,464	65,732	2,363,030	1,202,508	-	1,037,768	66,058	2,306,334
Reinsurance expense	(3,902,551)	-	-	-	(3,902,551)	(7,395,046)	-	-	-	(7,395,046)
Amounts recoverable for Incurred claims and other expenses	-	-	748,325	-	748,325	-	-	1,433,513	-	1,433,513
Changes to amounts recoverable for incurred claims	-	-	600,391	(21,120)	579,271	-	-	(60,721)	(326)	(61,047)
Total Insurance service expenses	-	-	1,348,716	(21,120)	1,327,596	-		1,372,792	(326)	1,372,466
Reinsurance finance income	-	-	8,121	-	8,121	-	-	75,543	-	75,543
Total changes in the statement of comprehensive income	**(3,902,551)**	**-**	**1,356,837**	**(21,120)**	**(2,566,834)**	**(7,395,046)**	**-**	**1,448,335**	**(326)**	**(5,947,037)**
Cash flows in the period:										
Reinsurance premium paid	5,452,721	-	-	-	5,452,721	7,406,372	-		-	7,406,372
Reinsurance Claim received	-	-	(1,604,203)	-	(1,604,203)	-	-	(1,402,638)	-	(1,402,638)
Net cash (outflow)/inflow	**5,452,721**	**-**	**(1,604,203)**	**-**	**3,848,518**	**7,406,372**	**-**	**(1,402,638)**	**-**	**6,003,734**
Closing Reinsurance assets	**2,764,004**	**-**	**836,098**	**44,612**	**3,644,714**	**1,213,834**	**-**	**1,083,464**	**65,732**	**2,363,030**

7.3 **Reconciliation of group life reinsurance contract assets - measured under PAA**

	Assets for remaining coverage		Assets for Incurred claims		30-Sep-26	Assets for remaining coverage		Assets for Incurred claims		31 Decmber 2025
	Non -Loss component	Loss recovery component	Estimate of present value for future cashflows	Risk adjustment for non financial risks	Total	Non -Loss component	Loss recovery component	Estimate of present value for future cashflows	Risk adjustment for non financial risks	Total
Opening balance	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**					
Reinsurance contract assets	716,038	-	926,743	10,966	1,653,747	335,705	-	719,109	1,299	1,056,113
Net reinsurance assets	716,038	-	926,743	10,966	1,653,747	335,705	-	719,109	1,299	1,056,113
Reinsurance expense	(2,020,913)	-	-	-	(2,020,913)	(2,772,647)	-	-	9,667	**(2,762,980)**
Amounts recoverable for Incurred claims and other expenses	-	-	797,174	-	797,174	**-**	**-**	2,457,686	-	2,457,686
Changes to amounts recoverable for incurred claims	-	-	1,283,447	(299)	1,283,148	-	-	(455,865)	-	(455,865)
Net income or expense from reinsurance contracts held	-	-	2,080,621	(299)	2,080,322	(2,772,647)	-	2,001,821	9,667	(761,159)
Reinsurance finance income	-	-	40,486	-	40,486	-	-	99,420	-	99,420
Total changes in the statement of comprehensive income	**(2,020,913)**		**2,121,107**	**(299)**	**99,895**	**(2,772,647)**	**-**	**2,101,241**	**9,667**	**(661,739)**
Cash flows in the period:										
Reinsurance premium	2,218,559	-	-	**-**	2,218,559	3,152,980	-	-	-	3,152,980
Reinsurance Claim received	-	-	(2,146,037)	-	(2,146,037)	-	-	(1,893,609)	-	(1,893,609)
Net cash (outflow)/inflow	**2,218,559**	-	**(2,146,037)**	**-**	**72,522**	**3,152,980**	-	**(1,893,609)**	**-**	**1,259,371**
Closing Reinsurance contract assets	**913,684**	**-**	**901,813**	**10,667**	**1,826,164**	**716,038**	**-**	**926,741**	**10,966**	**1,653,745**

		Group	Group	Company	Company
		30-Sep	31-Dec	30-Sep	31-Dec
		2026	**2025**	**2026**	**2025**
8	**Other receivables and prepayments**	**N'000**	**N'000**	**N'000**	**N'000**
	Prepaid rent (Note 8(a))	74,523	23,223	74,523	23,223
	Staff Loan (Note 8(b))	13,767	56,084	13,767	56,084
	Other prepayment	-	111,653	-	111,653
	Policy Loan	-		-	-
	Interest receivable	18,995	18,075	18,995	18,075
	Deposit for Land	-	30,000	-	30,000
	Due from Lasaco Properties Ltd	-	-	28,142	-
	Due from Lasaco Trading			3,994	
	Stock Brokers' current accounts	336,790	21,838	336,790	21,838
	Other receivables (Note 8(c))	40,669	95,484	-	11,339
		484,744	356,357	476,211	272,212
	Impairment of other assets (Note 8(e))				
		484,744	356,357	476,211	272,212
	Current	484,744	356,357	476,211	272,212
	Non-Current	-	-	-	-
		484,744	356,357	476,211	272,212
(a)	**Prepaid rent**	**N'000**	**N'000**	**N'000**	**N'000**
	Balance at the beginning of the year	23,223	39,273	23,223	39,273
	Rent paid during the year	89,000	42,079	89,000	42,079
	Amortised rent during the year	(37,700)	(58,129)	(37,700)	(58,129)
	Balance at the end of the year	74,523	23,223	74,523	23,223
(b)	**Staff loans**	**N'000**	**N'000**	**N'000**	**N'000**
	Balance at the beginning of the year	56,087	98,704	56,087	98,704
	Additions during the year	8,000	8,701	8,000	8,701
	Repayment during the year	(50,317)	(51,318)	(50,317)	(51,318)
	Balance at the end of the year	13,770	56,087	13,770	56,087
	Expected credit loss (Note 8(d))	(3)	(3)	(3)	(3)
		13,767	56,084	13,767	56,084
(c)	**Other receivables**	**N'000**	**N'000**	**N'000**	**N'000**
	Sundry debtors	-	11,339	-	11,339
	Other loan	-	29,442	-	-
	Recapitalisation expenses	-	-	-	-
	Due from facility management	40,669	54,703		
	Expected credit loss (Note 5(g))	-	-	-	-
		40,669	95,484	-	11,339
9	**Investment Properties**				
	Balance at the beginning of the year	10,562,130	8,185,378	10,412,130	7,704,379
	Additions during the year	-	240,065	-	240,065
	Disposal during the year		(356,000)	-	-
	Fair value gain (Note 34)	-	2,492,686	-	2,467,686
	Balance at the end of the year	10,562,130	10,562,129	10,412,130	10,412,130

10 Investment in Subsidiaries	Lasaco Properties	Lasaco Trading & Investment Ltd	2026 N'000 Total	2025 N'000 Total
Balance as at 1 January 2026	500,000	500,000	1,000,000	1,000,000
Additions during the year	-	-	-	-
Balance , end of year	500,000	500,000	1,000,000	1,000,000

LASACO Assurance Plc owned approximately 100 percent holdings in LASACO Properties Limited. The subsidiary fully commenced operations in January 2024. The sum of NGN500million represents the capital injected into the Company by LASACO Assurance Plc.

LASACO Assurance Plc owned approximately 90 percent holdings in LASACO Trading and Investment Limited. The subsidiary commenced full operations in January 2024. The sum of NGN500 million represents the capital injected into the Company by LASACO Assurance Plc.

The financial statement of the two subsidiaries have been consolidated with the Financial Statement of the parent Company - Lasaco Assurance Plc

11 Statutory deposit	2026 N'000	2025 N'000
Non life Business	1,520,150	320,150
Life Business	1,015,000	215,000
	2,535,150	535,150
Current	-	-
Non-Current	2,535,150	535,150

Statutory deposit represents the amount deposited with the Central Bank of Nigeria in accordance with Section 9(1) and Section 10(3) of the Insurance Act 2003. This is restricted cash as management does not have access to the balances in its day to day activities. Statutory deposits are measured at amortised cost.

12 Intangible assets	Group 2026	Group 2025	Company 2026	Company 2025
Cost	**N'000**	**N'000**	**N'000**	**N'000**
At 1 January, 2025	522,021	417,997	521,121	417,097
Addition	-	104,024	-	104,024
31 December, 2025	**522,021**	522,021	**521,121**	**521,121**
Amortisation				
At 1 January, 2026	254,446	106,986	254,446	106,986
Amortisation during the year	102,392	147,460	102,392	147,460
At 30 September , 2026	**356,838**	254,446	**356,838**	**254,446**
Carrying amount:				
At 30 September , 2026	**165,183**	**267,575**	**164,283**	**266,675**

13 **Property, plant and equipment**

Cost/Valuation	Land	Building	Furniture fittings & Equipment	Motor Vehicles	Total
Cost	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
At 1 January 2025	492,000	1,662,339	1,417,043	2,207,464	5,778,846
Additions	-	-	128,797	573,675	702,472
Reclassification	-	-	-	-	-
Disposals	-	-	(1,180)	(219,875)	(221,055)
Asset revaluation	184,500	403,711	-	-	588,211
At 31 December 2025	676,500	2,066,050	1,544,660	2,561,264	6,848,474
At 1 January 2026	676,500	2,066,050	1,544,660	2,561,264	6,848,474
Additions	-	-	174,815	494,000	668,815
Disposals	-	-	(2,860)	(169,000)	(171,860)
Asset revaluation	-	-	-	-	-
At 30 September 2026	**676,500**	**2,066,050**	**1,716,615**	**2,886,264**	**7,345,429**
Accumulated depreciation					
At 1 January 2025	-		1,030,484	1,037,102	2,067,586
Charge for the year	-	32,590	180,074	424,863	637,527
Disposals	-	-	(389)	(148,129)	(148,518)
Asset revaluation	-	(32,590)	-	-	(32,590)
At 31 December 2025	-	-	1,210,169	1,313,836	2,524,005
At 1 January 2026	-	-	1,210,169	1,313,836	2,524,005
Charge for the year	-	30,906	112,330	321,902	465,138
Disposals	-	-	(632)	(135,503)	(136,135)
Asset revaluation	-	-			-
At 30 September 2026	-	30,906	1,321,867	1,500,235	2,853,008
Carrying amounts at:					
30 September 2026	676,500	2,035,144	394,748	1,386,029	4,492,421
31 December 2025	676,500	2,066,050	334,491	1,247,428	4,324,469

		Group 30-Sep 2026	Group 31-Dec 2025	Company 30-Sep 2026	Company 31-Dec 2025
14	**Insurance Contract Liabilities**	**N'000**	**N'000**	**N'000**	**N'000**
	Liability for remaining coverage (LRC):	11,640,766	8,180,751	11,640,766	8,180,751
	Liability for Incurred claims (LIC):	5,771,960	7,080,574	5,771,960	7,080,574
		17,412,726	15,261,325	17,412,726	15,261,325

14.1 Reconciliation of Insurance Contract Liabilities - Aggregate (PAA and GMM)

	Liabilities for remaining coverage component		Liabilities for incurred claims		30-Sep-26	Liabilities for remaining coverage component		Liabilities for incurred claims		31-Dec-25
	Non -Loss component	Loss component	Estimate of present value of future cashflows	Risk adjustment for non financial risks	Total	Non -Loss component	Loss component	Estimate of present value of future cashflows	Risk adjustment for non financial risks	Total
Opening balance	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Insurance contract	7,331,402	849,349	6,783,459	297,115	15,261,325	7,103,860	655,725	7,181,951	328,359	15,269,895
Net Insurance Contracts	7,331,402	849,349	6,783,459	297,115	15,261,325	7,103,860	655,725	7,181,951	328,359	15,269,895
Insurance Revenue	(23,806,720)	-	-	-	(23,806,720)	(30,861,346)				(30,861,346)
Insurance Service Expenses:										
Incurred claims	-	-	6,356,605	-	6,356,605			10,108,845		10,108,845
Insurance acquisition cashflows	3,010,948	-	-	-	3,010,948	5,504,811				5,504,811
Incurred fulment	-	-	3,865,371	-	3,865,371			3,456,227		3,456,227
Changes relates to future service	-	502,551	-	-	502,551		193,625			193,625
Changes relates to past service	-	-	1,788,317	(75,530)	1,712,787	-		7,518,833	(31,244)	7,487,589
Total Insurance service exp	3,010,948	502,551	12,010,293	(75,530)	15,448,262	5,504,811	193,625	21,083,905	(31,244)	26,751,097
Insurance component						(426,797)		426,797		-
Insurance service results	(20,795,772)	502,551	12,010,293	(75,530)	(8,358,458)	(25,783,332)	193,625	21,510,702	(31,244)	(4,110,249)
Insurance finance expenses	268,236	-	229,056	-	497,292	541,109		124,230		665,339
Total changes in the statement of	(20,527,536)	502,551	12,239,349	(75,530)	(7,861,166)	(25,242,223)	193,625	21,634,932	(31,244)	(3,444,910)
Cash flows in the period:										
Premiums received	27,598,221	-	-	-	27,598,221	29,039,296	-			29,039,296
Insurance acquisition cash fl	(2,578,658)		-		(2,578,658)	(5,504,811)		-		(5,504,811)
other expenses	(1,213,819)		(3,865,371)		(5,079,190)			(3,456,227)		(3,456,227)
Claims paid	-	-	(9,927,803)	-	(9,927,803)			(18,577,197)		(18,577,197)
Net cash inflow/(outflow)	23,805,744	-	(13,793,174)	-	10,012,570	23,534,485	-	(22,033,424)	-	1,501,061
Non -Cashflows:										
Impact of prior year premiu						1,693,553				1,693,553
Impact of premium receivab						241,726				241,726
						1,935,279				1,935,279
Closing Insurance	**10,609,610**	**1,351,900**	**5,229,634**	**221,585**	**17,412,726**	**7,331,401**	**849,350**	**6,783,459**	**297,115**	**15,261,325**
					-					

14.1.1 **Reconciliation of General Insurance Contract Liabilities - measured under PAA**

	Liabilities for remaining coverage		Liabilities for incurred claims		30-Sep-26	Liabilities for remaining coverage		Liabilities for incurred claims		31-Dec-25
	Non loss component	Loss component	Estimate of present value of future cashflows	Risk adjustment	Total	Non loss component	Loss component	Estimate of present value of future cashflows	Risk adjustment	Total
Opening balance	N'000	N'000	N'000	N'000	N'000					
Insurance contract liabilities	5,306,547	-	3,826,259	235,014	9,367,820	4,177,210	-	**4,306,126**	**267,967**	8,751,303
Less: Deferred acquisition c	-	-	-	-	-	-	-	-	-	-
Net Insurance contract	5,306,547	-	3,826,259	235,014	9,367,820	4,177,210	-	4,306,126	267,967	8,751,303
Insurance Revenue	(14,023,539)	-	-	-	(14,023,539)	(17,694,195)	-	-	-	(17,694,195)
Insurance service expenses:										
Incurred claims	-	-	2,896,625	-	2,896,625	-	-	3,334,003	-	3,334,003
Ammortization of insurance acquisition	2,063,911	-		-	2,063,911	3,076,017	-		-	3,076,017
Incurred fuilment			3,025,343					3,456,228		3,456,228
Adjustments to liabilities for incurred claims	-	-	-		-	-	-	6,180,031	(32,953)	6,147,078
Changes relates to future	-		-	-	-			-	-	-
Changes relates to past service	-	-	783,800	(73,826)	709,974	-	-	-	-	-
Total Insurance service exp	**2,063,911**	**-**	**6,705,768**	**(73,826)**	**8,695,853**	**3,076,017**	**-**	**12,970,262**	**(32,953)**	**16,013,326**
Insurance service results	(11,959,628)	-	6,705,768	(73,826)	(5,327,686)	(14,618,178)	-	12,970,262	(32,953)	(1,680,869)
Insurance finance expenses	-	-	86,358	-	86,358	-		302,585	-	302,585
Total changes in the statement of	(11,959,628)	-	6,792,126	(73,826)	(5,241,328)	(14,618,178)	-	13,272,847	(32,953)	(1,378,284)
Cash flows in the period:										
Premiums received	15,009,545		-	-	15,009,545	17,793,085	-	-	-	17,793,085
Insurance acquisition cash	(2,578,658)	-	-	-	(2,578,658)	(3,076,018)	-	-	-	(3,076,018)
Other insurance service exp	-	-	(3,025,343)	-	(3,025,343)			(3,456,227)		(3,456,227)
Claims paid	-	-	(4,918,711)	-	(4,918,711)	-	-	(10,296,487)	-	(10,296,487)
Net cash inflow/(outflow)	12,430,887		(7,944,054)	-	4,486,833	14,717,067		(13,752,714)	-	964,353
Non -Cashflows:										
Impact of prior year premiu						892,989	-	-	-	892,989
Impact of premium receivab						137,459	-	-	-	137,459
						1,030,448				1,030,448
Closing Insurance	**5,777,806**	**-**	**2,674,331**	**161,188**	**8,613,322**	**5,306,547**	**-**	**3,826,259**	**235,014**	**9,367,820**

14.1.2 **Reconciliation of Group life Insurance Contract Liabilities - measured under PAA**

	Liabilities for remaining coverage		Liabilities for incurred claims		30-Sep-26	Liabilities for remaining coverage		Liabilities for incurred claims		31-Dec-25
	Non loss component	Loss component	present value of future cashflows	Risk adjustment	Total	Non loss component	Loss component	Estimate of present value of future cashflows	Risk adjustment	Total
Opening balance	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Insurance contract liabilities	1,545,979	-	2,957,200	62,101	4,565,280	1,366,603	-	**2,875,824**	**60,392**	4,302,819
Less: Deferred acquisition c	-	-	-	-	-	-	-	-	-	-
Net Insurance Contracts	**1,545,979**	**-**	**2,957,200**	**62,101**	**4,565,280**	**1,366,603**	**-**	**2,875,824**	**60,392**	**4,302,819**
Insurance Revenue	(9,681,065)	-	-	-	(9,681,065)	(11,954,593)	-	-	-	(11,954,593)
Insurance Service Expenses:										
Incurred claims	-	-	3,459,980	-	3,459,980	-	-	6,018,179	-	6,018,179
Ammortization of insurance acquisition	947,037	-		-	947,037	2,290,586	-		-	2,290,586
Incurred fuilfment			809,246		809,246					
Adjustments to liabilities for incurred claims	-	-	-		-	-	-	1,338,801	1,709	1,340,510
Changes related to future			-	-	-			-	-	-
Changes related to past serv	-	-	1,004,517	(1,704)	1,002,813	-		0	0	-
Total Insurance Service exp	**947,037**	**-**	**5,273,743**	**(1,704)**	**6,219,076**	**2,290,586**	**-**	**7,356,980**	**1,709**	**9,649,275**
Insurance service results	(8,734,028)	-	5,273,743	(1,704)	(3,461,989)	(9,664,007)	-	7,356,980	1,709	(2,305,318)
Insurance finance expenses	-	-	142,698	-	142,698	-	-	-178,354	-	(178,354)
Total changes in the statement of	(8,734,028)	-	5,416,441	(1,704)	(3,319,291)	(9,664,007)	-	7,178,626	1,709	(2,483,672)
Cash flows in the period:										
Premiums received	12,265,153	-	-	-	12,265,153	11,229,139	-	-	-	11,229,139
Insurance acquisition cash fl	-	-	-	-	-	-	-	-	-	-
Acquisition expenses paid	(1,213,819)	-	-	-	(1,213,819)	(2,290,586)	-	-	-	(2,290,586)
other expenses paid	-	-	(809,246)	-	(809,246)	-	-	(7,097,250)	-	(7,097,250)
Claims paid			(4,688,346)		(4,688,346)					
Net cash inflow/(outflow)	11,051,334	-	(5,497,592)	-	5,553,742	8,938,553	-	(7,097,250)	-	1,841,303
Non -Cashflows:										
Impact of prior year premiu						800,563				800,563
Impact of premium receivab						104,267				104,267
						904,830				904,830
Closing Insurance	**3,863,285**	**-**	**2,876,049**	**60,397**	**6,799,731**	**1,545,979**	**-**	**2,957,200**	**62,101**	**4,565,280**

14.1.3 Reconciliation of Investment Link Contract Liabilities - measured under GMM

	Liabilities for remaining coverage		Liabilities for incurred claims		30-Sep-26	Liabilities for remaining coverage		Liabilities for incurred claims		31-Dec-25
	Non loss component	Loss component	Estimate of present value of future cashflows	Risk adjustment	Total	Non loss component	Loss component	Estimate of present value of future cashflows	Risk adjustment	Total
Opening balance	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**					
Insurance contract	471,556	823,945	-	-	1,295,501	807,955	627,342			1,435,297
Net Insurance contract liabilities	471,556	823,945	-	-	1,295,501	807,955	627,342	-	-	1,435,297
Insurance Revenue	(99,140)	-	-	-	(99,140)	(196,460)	-	-	-	(196,460)
Insurance service expenses:										
Incurred claims	-	-		-	-	-	-	14,969	-	14,969
Ammortization of insurance acquisition	-	-		-	-	138,095	-	-	-	138,095
Incurred fulfment			30,782							
Changes related to future service	-	502,077	-		502,077	-	196,603			196,603
Changes related to past serv	-			-	-				-	-
Total Insurance service	**-**	**502,077**	**30,782**		**502,077**	**138,095**	**196,603**	**14,969**	**-**	**349,667**
Investment components	(320,746)	-	320,746	-	-	(426,797)	-	426,797	-	-
Insurance service results	(419,886)	502,077	351,528	-	433,719	(485,162)	196,603	441,766	-	153,207
Insurance finance expenses	265,290	-	-	-	265,290	270,999			-	270,999
comprehensive income	**(154,596)**	**502,077**	**351,528**	**-**	**699,009**	**(214,163)**	**196,603**	**441,766**	**-**	**424,206**
Cash flows in the period:										
Premiums received	323,523	-	-	-	323,523	15,859	-	-	-	15,859
Insurance acquisition cash	-	-	(30,782)	-	(30,782)	(138,095)	-	-	-	(138,095)
Claims paid and expenses pa	-	-	(320,746)	-	(320,746)			(441,766)		(441,766)
	-	-				-	-	-	-	-
Net cash inflow/(outflow)	323,523		(351,528)	-	(28,005)	(122,236)		(441,766)	-	(564,002)
Closing Insurance	**640,483**	**1,326,022**	**-**	**-**	**1,966,505**	**471,556**	**823,945**	**-**	**-**	**1,295,501**

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14.1.5 Reconciliation of individual life insurance contract liabilities- GMM measurement

	Liabilities for remaining coverage		Liabilities for incurred claims		Insurance contract Liabilities- September 30 2026	Liabilities for remaining coverage		Liabilities for incurred claims		**31-Dec-25**
	Non - onerous	Onerous	Non - onerous	Onerous		Non - onerous	Onerous	Non - onerous	Onerous	
Opening insurance contract asset	-	-	-	-	-	-	-	-	-	-
Opening insurance contract liabil	7,320	25,404	-	-	32,724	4,427	28,383	-	-	32,810
Net opening balance	7,320	25,404	-	-	32,724	4,427	28,383	-	-	32,810
Insurance revenue	(2,976)	-		-	(2,976)	(3,281)	-	-	-	(3,281)
Insurance service expenses	-	-			-	-				-
Incurred claims and other expei	-	-		-	-	-				-
Acquisition expenses	-	-		-	-	113				113
Incurred fuilfment cashflow										
Changes related to future servi	-	474		-	474	-	(2,979)			(2,979)
Changes related to past service	-	-		-	-	-			-	-
Total Insurance service expense	-	474		-	474	(3,168)	(2,979)	-	-	(6,147)
Investment components	-	-		-	-	4,962	-		-	4,962
Insurance service result	(2,976)	474		-	(2,502)	1,794	(2,979)	-	-	(1,185)
Insurance finance expenses	2,946	-		-	2,946		-		-	-
Total change in comprehensive	(30)	474		-	444	1,794	(2,979)	-	-	(1,185)
					-					-
Premiums received	-	-		-	-	1,212	-			1,212
Claims and expenses paid	-	-		-	-	-	-			-
Acquisition costs paid	-	-		-	-	(113)	-			(113)
Total cash flows	-	-		-	-	1,099	-	-	-	1,099
					-					-
Closing insurance contract assets	-	-		-	-					-
Closing insurance contract liabili	7,290	25,878		-	33,168	7,320	25,404	-	-	32,724
Net closing balance	7,290	25,878	-	-	33,168	7,320	25,404	-		32,724

14.2 The age analysis of liability for outstanding claims (excluding IBNR) as at 30 September, 2026 is as follows:

	Pending substantiating documents	Related to awaiting adjusters' report	Discharge Voucher not returned by clients	2026 'Total	2025 'Total
	N'000	N'000	N'000	N'000	N'000
0 - 90 days	461,372	160,864	143,422	765,658	2,399,137
91 - 180 days	254,327	-	175,000	429,327	946,724
181 - 270 days	424,062	-	159,971	584,033	377,582
270 - 365 days	73,560	-	-	73,560	97,679
365 days and above	11,060	-	-	11,060	33,981
	1,224,381	160,864	478,393	1,863,638	3,855,103

14.2.1 The age analysis of liability for outstanding claims (excluding IBNR) as at 30 September 2026 is as follows:

General Business

	Pending substantiating documents	Related to awaiting adjusters' report	Discharge Voucher not returned by clients	2026 'Total	2025 'Total
	N'000	N'000	N'000	N'000	N'000
0 - 90 days	349,417	-	-	349,417	1,858,015
91 - 180 days	103,675	-	-	103,675	635,709
181 - 270 days	73,776	-	-	73,776	255,601
270 - 365 days	73,560	-	-	73,560	97,679
365 days and above	11,060	-	-	11,060	33,981
	611,488	-	-	611,488	2,880,985

There are total number of 1,675 outstanding claims for Non Life as at the year ended 30 September due to pending substantial document

The age analysis of liability for outstanding claims (excluding IBNR) as at 30 September 26 is as follows:

Group Life

	Pending substantiating documents	Related to awaiting adjusters report	Discharge Voucher not returned by clients	2026 'Total	2025 'Total
	N'000	N'000	N'000	N'000	N'000
0 - 90 days	111,955	160,864	143,422	416,241	541,122
91 - 180 days	150,652		175,000	325,652	311,105
181 - 270 days	350,286		159,971	510,257	121,981
270 - 365 days	-			-	-
365 days and above				-	-
	612,893	160,864	478,393	1,252,150	974,208

There are total number of 347 outstanding claims for Life busines as at the period ended 30 September 2026. 208 outstanding claims are pending substantiating documents while 49 claims are awaiting adjusters' report and discharged vouchers not returned by clients are 90.

	Group	Group	Company	Company
	2026	**2025**	**2026**	**2025**
15 Other technical liabilities	**N'000**	**N'000**	**N'000**	**N'000**
Claim received in advance from Co insurance	302,642	-	302,642	-
Commission payables	20,529	22,431	20,529	22,431
Premium payable to reinsurers	-		-	-
Premium Deposit (Note 16(c))	1,197,058	1,307,238	1,197,058	1,307,238
	1,520,229	1,329,669	1,520,229	1,329,669
Current	1,520,229	1,329,669	1,520,229	1,329,669
Non - current	-	-	-	-

(a) Premium deposit represents payment received in advance from clients in respect of future insurance contracts.

16 Other Payables and Accruals				
16.1 Accruals (Note 16(a))	334,159	325,453	334,159	325,453
Unclaimed Dividend payable (Note 16(b))	412,839	412,838	412,839	412,838
Other creditors (Note 16(c))	330,723	296,827	325,116	321,929
Payable to Lasaco Trading and Investment	-	-		-
Payable on Cooperative scheme	-	6,475	-	6,475
	1,077,721	1,041,593	1,072,114	1,066,695

The carrying amount disclosed above reasonably approximates fair value at the reporting date. All amounts are payable within one year.

	Group	**Group**	**Company**	**Company**
	30-Sep **2026**	31-Dec **2025**	30-Sep **2026**	31-Dec **2025**
	N'000	**N'000**	**N'000**	**N'000**
(a) Accruals				
Audit fees	-	15,920		15,920
NAICOM Levy	272,747	309,533	272,747	309,533
Insurance Policy Holders' Protection fund	-		61,412	
Retirement benefits	-		-	
Payable for Corporate gifts	-		-	
	272,747	325,453	334,159	325,453

(b) Unclaimed Dividend Payable

This represents Unclaimed Dividend returned to the Company by Apel Capital & Trust Limited for investment as required by Securities and Exchange Commission.

(b) Dividend payable				
Balance at the beginning of the year	412,839	567,518	412,839	567,518
Refund from Registrar	-	(154,680)	-	(154,680)
Balance at the end of the year	412,839	412,838	412,839	412,839
(c) Other creditors include the following:	**N'000**	**N'000**	**N'000**	**N'000**
Paye-As-You-Earn (PAYE)	22,635	29,122	22,635	29,122
Withholding tax	31,900	21,571	31,900	21,571
Value added tax	85,446	22,374	85,446	22,374
National Housing Fund	-	9,891	-	9,891
Pension payable	8,107	14,498	8,107	14,498
Others	182,635	199,373	177,028	224,472
	330,723	296,829	325,116	321,928

17 Taxation				
(a) Per Statement of Financial Position	**N'000**	**N'000**	**N'000**	**N'000**
Balance at the beginning of the year	296,867	350,396	211,329	350,396
Income tax for the year	354,703	180,512	312,754	105,038
Education Tax	-	10,061	-	
Information Technology Development Levy	-	-	-	
Police fund Levy	-		-	
Payment during the year	(92,426)	(244,106)	(53,443)	(244,106)
Balance at the end of the year	559,144	296,863	470,641	211,329

	Group 2026	Group 2025	Company 2026	Company 2025
(b) Per Income Statement	**N'000**	**N'000**	**N'000**	**N'000**
Income tax	354,703	84,043	312,754	84,043
Education Tax	-	-	-	
Police fund Levy	-	-	-	-
Minumum tax	-	-	-	-
Police fund Levy	-	-	-	-
Deferred tax (Note 20 (i))	-	-	-	-
	354,703	84,043	312,754	84,043
Information Technology Levy	-	-	-	-
Underprovision - Information Technology Levy	-	-	-	-
	354,703	84,043	312,754	84,043

	Group	Group	Company	Company
18 Deferred Taxation	**2026**	**2025**	**2026**	**2025**
i) **Deferred tax Liabilities**	**N'000**	**N'000**	**N'000**	**N'000**
Balance at the beginning of the year	949,901	408,017	901,994	408,017
Charge for the year (Note 19(b))	-	-		
Assets revaluation reserve	-	493,977	-	493,977
Balance at the end of the year	949,901	901,994	901,994	901,994

	Group	Group	Company	Company
19 Share Capital	**2026**	**2025**	**2026**	**2025**
Issued and fully paid ordinary shares of 50k eac	**N'000**	**N'000**	**N'000**	**N'000**
Balance as at 1 January 2026	5,541,793	916,793	5,541,793	916,793
Issued during the period	4,618,161	4,625,000	4,618,161	4,625,000
Balance, at end of period	10,159,954	5,541,793	10,159,954	5,541,793
Number				
Ordinary shares of 50k each	20,319,908	11,083,586	20,319,908	11,083,586
Number of shares in issue				
Balance as at 1 January 2026	11,083,586	11,083,586	11,083,586	11,083,586
Issued during the period	9,236,322	-	9,236,322	-
Balance, at end of period	20,319,908	11,083,586	20,319,908	11,083,586

20 Share Premium	**N'000**	**N'000**	**N'000**	**N'000**
Balance at the beginning of the year	9,889,303	3,690,991	9,889,303	3,690,991
Share issue during the year	13,483,649	6,198,312	13,483,649	6,198,312
Balance at the end of the year	23,372,952	9,889,303	23,372,952	9,889,303

21 Statutory contingency reserve	Group 2026 N'000	Group 2025 N'000	Company 2026 N'000	Company 2025 N'000
Balance at the beginning of the year	4,255,054	3,568,838	4,255,054	3,568,838
Transfer from retained earnings (Note 22)	573,077	686,216	573,077	686,216
Balance at the end of the year	4,828,131	4,255,054	4,828,131	4,255,054

Statutory contingency reserve is calculated in accordance with the Insurance Act, a contingency reserve is credited with the greater of 3% of total premiums or 20% of profits for general business and 1% of total premiums or 10% of profits for life business. This shall accumulate until it reaches the amount of greater of minimum paid- up capital or 50 percent of net premium.

During the current year, this is calculated based on 3% and 1% of the gross premium for general and life businesses respectively.

22 Retained earnings	Group 2026 N'000	Group 2025 N'000	Company 2026 N'000	Company 2025 N'000
Balance at the beginning of the year	(710,081)	2,825,852	(1,136,388)	2,542,270
Profit for the year	1,247,795	(2,849,717)	1,149,917	(2,992,442)
Transfer to contingency reserves (Note 21)	(573,077)	(686,216)	(573,077)	(686,216)
Dividend paid	-	-	-	-
Balance at the end of the year	(39,322)	(710,081)	(559,548)	(1,136,388)

23 Fair value through other comprehensive income reserve	Group 2026 N'000	Group 2025 N'000	Company 2026 N'000	Company 2025 N'000
Balance at the beginning of the year	434,535	437,340	434,535	437,340
Fair value loss during the year (Note 4.2(b))	-	(2,805)	-	(2,805)
Balance at the end of the year	434,535	434,535	434,535	434,535

(a) The fair value reserve shows the effect from the fair value measurement of financial instruments of the category available for sale. Any gains or losses are not recognised in the comprehensive income statement until the asset has been sold or impaired.

24 Asset revaluation reserve	Group 2026 N'000	Group 2025 N'000	Company 2026 N'000	Company 2025 N'000
Balance at the beginning of the year	949,616	822,792	949,616	822,792
Accumulated depreciation	-	32,590	-	32,590
Revaluation surplus	-	588,211	-	588,211
Revaluation surplus/(loss)	949,616	1,443,593	949,616	1,443,593
Transferred to deferred tax	-	(493,977)	-	(493,977)
Balance at the end of the year	949,616	949,616	949,616	949,616

25 Insurance revenue

	30 SEPTEMBER 2026 N'000						30 SEPTEMBER 2025 N'000					
	Individual Life	Investment link	Annuity	Group Life Insurance contract	General buisness ins. contract	Total	Individual Life	Investment link	Annuity	Group Life Insurance contract	General buisness ins. contract	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Expected benefits incurred	1,631	29,366	-	9,681,065	14,023,539	23,735,601	225	12,718	78,208	9,540,293	13,191,410	22,822,854
Expected expenses incurred	1,345	69,774	-	-	-	71,119	1,267	30,014	3,699	-	-	34,980
Loss component systematic allocation	-	-	-			-				-	-	-
Changes in risk adjustment		-	-	-	-	-	575	435	1,512	-	-	2,522
CSM recognised for the year		-	-	-	-	-	35	-	18,507	-	-	18,542
Recovery of acquisition cashflow							77,327					77,327
Insurance revenue	**2,976**	**99,140**	**-**	**9,681,065**	**14,023,539**	**23,806,720**	79,429	**43,167**	**101,926**	**9,540,293**	**13,191,410**	**22,956,225**

	Group 2026	Group 2025	Parent 2026	Parent 2025
26 Insurance service expenses	**N'000**	**N'000**	**N'000**	**N'000**
Incurred claims	6,356,605	6,908,385	6,356,605	6,908,385
Incurred fulfilment expenses	3,865,370	-	3,865,370	3,103,323
Amortisation of acquisition expenses	3,010,949	3,563,412	3,010,949	3,563,412
Changes in Libilities for incurred claims	1,788,316	6,429,600	1,788,316	6,429,600
Changes in risk adjustment related to LIC	(75,530)	2,168	(75,530)	2,168
Changes related to future service	502,551	-	502,551	-
	15,448,261	**16,903,565**	**15,448,261**	**20,006,888**
27 Net income or expenses from reinsurance contract held	**N'000**	**N'000**		**N'000**
Expected recovery for claims	5,923,464	7,698,102	5,923,464	7,698,102
Reinsurance RA allocation	-	(1,983)	-	(1,983)
Reinsurance CSM allocation	-	-	-	-
Allocation of reinsurer Insurance Revenue	**5,923,464**	7,696,119	**5,923,464**	**7,696,119**
Amounts recoverable for claims	(1,545,500)	(1,935,628)	(1,545,500)	(1,935,628)
changes in BEL related to reinsurance LIC	(1,883,838)	(379,451)	(1,883,838)	(379,451)
changes in RA related to reinsurance LIC	21,419	3,948	21,419	3,948
Amounts recoverable from reinsurer	(3,407,919)	(2,311,131)	(3,407,919)	(2,311,131)
Net income or expense from reinsurance contracts held	**2,515,545**	5,384,988	**2,515,545**	**5,384,988**
28 Insurance Finance income/Expenses	**N'000**	**N'000**	**N'000**	**N'000**
Unwind of discount on FCFs: LRC	**(193,134)**	**-**	**(193,134)**	**-**
Unwind of discount on FCFs: LIC	**(217,928)**	**(188,301)**	**(217,928)**	**(188,301)**
Effect of change in economic assumptions: LRC	**(7,281)**	**(1,566,612)**	**(7,281)**	**(1,566,612)**
Effect of change in economic assumptions: LIC	**(11,128)**	**1,449,853**	**(11,128)**	**1,449,853**
Interest accretion on CSM	**(66,345)**	**(13,177)**	**(66,345)**	**(13,177)**
Effect of change in Discount rate assumptions: LRC	**(1,477)**	**(61,688)**	**(1,477)**	(61,688)
Change in fair value in underlying item		**(212,671)**	,	-212671
Net Finance expenses from Insurance contract	**(497,293)**	(592,596)	**(497,293)**	(592,596)

	Group 2026	Group 2025	Company 2026	Company 2025
29 Reinsurance Finance Income/Expenses	**N'000**	**N'000**	**N'000**	**N'000**
Interest accreted to reinsurance contracts (locked-in rates)	-	-		-
Unwinding of discount of FCF: reinsuracne LIC	64,581	(383,231)	64,581	(383,231)
Impacting of discounting Reinsurance LIC	(10,703)	16,206	(10,703)	16,206
Change in financial assumptions through OCI	(5,271)	-	(5,271)	-
Changes in non-performance risk of reinsurer	-	10,414	-	10,414
Net foreign exchange income or expense	-	-	-	-
Net Finance icome from reinsurance contracts	48,607	(356,611)	48,607	(356,611)
30 Investment Income	**N'000**	**N'000**	**N'000**	**N'000**
Interest revenue calculated using effective interest method (Note 30.1)	2,326,546	1,796,041	2,177,034	2,471,841
Other investment income (Note 30.2)	63,278	96,712	63,278	96,712
	2,389,824	**1,892,753**	**2,240,312**	**2,568,553**
30.1 Interest revenue calculated using effective interest method	**N'000**	**N'000**	**N'000**	**N'000**
Interest from fixed deposit	2,145,278	2,256,808	1,995,766	2,151,476
Interest on bonds	88,950	122,225	88,950	122,225
Interest on treasury bill		87,943		87,943
Interest from statutory deposit	92,318	110,197	92,318	110,197
	2,326,546	**2,577,173**	2,177,034	**2,471,841**
30.2 Other investment income	**N'000**	**N'000**	**N'000**	**N'000**
Dividend income	73,024	96,712	63,278	96,712

		Group 2026 N'000	Group 2025 N'000	Company 2026 N'000	Company 2025 N'000
31	**Fair value gains**				
	Investment properties				
	Fair value gain	-	-	-	-
	Financial assets at fair value through profit or loss:	-	-	-	
	Fair value gain	228,029	66,476	183,229	66,476
	Realised loss on disposal of financial assets	(17,155)		(17,155)	309,314
		210,874	66,476	166,074	375,790
32	**Net foreign exchange gain**				
	Exchange gain on foreign currency denominate cash and cash equivalent	(42,216)	(25,196)	(42,216)	(25,196)
	Exchange gain on fixed deposits above 90 days	(93,979)	-	(93,979)	-
		(136,195)	(25,196)	(136,195)	(25,196)
33	**Other Income**				
	Profit on sale of property,plant and equipment	100	(10,116)	100	(10,116)
	Profit from sales of Investment properties	-	-	-	
	Facility management fees	-	-	-	-
	Rental Income	-	23,463		23,463
	SUBEB funds management fee	25,835	-	25,835	-
	Other sundry income	6,895	799,396	24	406,206
		32,830	812,743	25,959	419,553
34	**Management Expenses**				
	Employee benefit expenses	1,465,352	1,162,513	1,410,232	1,162,513
	Other management expenses	3,032,261	2,788,187	3,016,279	2,484,855
	Directors expenses	867,939	759,966	867,939	759,966
	Auditors' fees	4,643	6,652	4,643	6,652
	Insurance levy	272,747	264,436	272,747	264,436
	Insurance Policy Holder Protection fund	88,338	-	88,338	-
	Amortisation	102,391	104,814	102,391	104,814
	Depreciation	465,138	486,573	465,138	486,573
		6,298,809	5,573,141	6,227,707	5,269,809
a	**Employee benefit expenses**				
	Salaries and Wages	847,267	779,431	795,147	779,431
	Medical Expenses	59,997	35,367	59,997	35,367
	Staff Training	83,494	154,739	83,494	154,739
	Employers' Pension Contribution	68,720	69,450	68,720	69,450
	Other employees benefit	405,874	123,526	402,874	123,526
		1,465,352	1,162,513	1,410,232	1,162,513
		-	-	-	-

35 Hypothecation

The Company is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that in the long term its investment proceeds will not be sufficient to fund the obligations arising from its insurance contracts, in response to the risk, the Company's assets and liabilities are allocated as follows:

	Policy Holders' Fund					Shareholders' Fund	
	Non-Life	Life				TOTAL	TOTAL FUNDS
AS AT 30 JUNE 2026		Life	Annuity	DA	Total		
	N'000	N'000	N'000	N'000		N'000	
COMPANY							
Cash and cash equivalents	3,544,183	4,208,537	-	2,164,718	9,917,438	22,843,140	**32,760,578**
Financial Assets:	-				-		
- At fair value through profit or loss	336,608	46,459	-		383,067	-	**383,067**
- At amortised cost	825,031	119,643		-	944,675		**944,675**
- At fair value through other comprehensive income	-	-	-		-	859,482	**859,482**
Investment in Subsidairies						1,000,000	**1,000,000**
Trade receivables	-	-			-	1,064,468	**1,064,468**
Reinsurance contract assets	3,644,714	1,826,164			5,470,878	-	**5,470,878**
Other receivables and prepayments	-	-			-	476,211	**476,211**
Investment property	2,153,331	2,391,515		688,277	5,233,122	5,179,008	**10,412,130**
Statutory deposit	-				-	2,535,150	**2,535,150**
Intangible assets	-				-	**164,283**	**164,283**
Property, plant and equipment	-				-	4,492,421	**4,492,421**
Total Assets	**10,503,866**	**8,592,318**	**-**	**2,852,995**	**21,949,179**	**38,614,163**	**60,563,342**
Liabilities:							
Insurance contract liabilities	8,613,322	6,832,899	-	1,966,505	17,412,726	17,412,726	**17,412,726**
Other technical liabilities	-	-	-	-	-	1,520,229	**1,520,229**
Other payables and accruals	-	-	-	-	-	1,072,114	**1,072,114**
Income tax liabilities	-	-	-	-	-	470,641	**470,641**
Deferred tax liabilities	-	-	-	-	-	901,994	**901,994**
Total Liabilities	**8,613,322**	**6,832,899**	**-**	**1,966,505**	**17,412,726**	**21,377,704**	**21,377,704**
Related Companies Loans							
Assets Cover	**1,890,544**	**1,759,419**	**-**	**886,490**	**4,536,453**	**17,236,459**	**39,185,638**

36 Capital Management Policy

The Company's objectives with respect to capital management are to maintain a capital base that is structured to exceed regulatory stipulations and to best utilize capital allocations.

Insurance industry regulator measures the financial strength of Composite insurers using a solvency margin model, NAICOM generally expect composite insurers to comply with this capital adequacy requirement. This test compares insurers' capital against the risk profile. The regulator stipulates that insurers should produce a minimum solvency margin of 100%. During the year, the Company has consistently exceeded this minimum. The regulator has the authority to request more extensive reporting and can place restrictions on the Company's operations if the Company falls below this requirement as deemed necessary.

The Company further developed an internal capital adequacy model that assesses the risk of assets, policy liabilities and other exposures by applying various factors. The model calculates the capital required for each class of the broad risks identified by the Company and aggregates through co-variance methodology that considers the relationship between these risk categories.

The Company's objectives when managing capital are as follows:

- To ensure that capital is, and will continue to be, adequate for the safety, soundness and stability of the Company;
- To generate sufficient capital to support the Company's overall business strategy;
- To ensure that the Company meets all regulatory capital ratios and the prudent buffer required by the Board;
- To ensure that the average return on capital over a 3 -5 years performance cycle is sufficient to satisfy the expectations of investors;
- To maintain a strong risk rating;
- To ensure that capital allocation decisions are optimal, considering the return on economic and regulatory capital;
- To determine the capital required to support each business activity based on returns generated on capital to facilitate growth/expansion of existing businesses (i.e. capital allocation);
- To establish the efficiency of capital utilization.

(a) **Minimum Capital Requirement**

The Company complied with the minimum capital requirement of N25billion for Composite operations. This is shown under Shareholders' Fund in the Statement of Financial Position.

(b) **Solvency Status**

The Company met the criteria for solvency margin as stated in Extant Insurance Regulations the margin maintained is N28,264,262

(c) **Capital Adequacy Test**

Based on the capital adequacy caculation below, LASACO Assurance Plc has a surplus of N7.2 billion.

	2026	
	N'000	N'000
Admissible Assets		49,641,966
Less:		
Admissible Liabilities		(21,377,704)
		-
Capital base		28,264,262

Management uses regulatory capital ratios to monitor its capital base. Based on the capital base computed above, the Company's capital base is above the minimum capital requirement of N25 billion specified by NIIRA.

(d) DETERMINATION OF SOLVENCY MARGIN	2026 N'000	In admissible N'000	2026 Admissible N'000	'2025 N'000
ASSETS				
Cash and Cash equivalents	32,760,578	-	32,760,578	13,517,583
Treasury Bills	-	-	-	-
Placement with Financial Institutions	61,843	-	61,843	1,228,387
Government Bonds	882,832	-	882,832	904,697
Corporate bond & Debenture - qouted		-	-	-
Corporate bond & Debenture - Unqouted		-	-	-
Quoted shares	383,067	-	383,067	357,452
Unquoted shares	859,482	(626,332)	233,150	233,150
Premium receivables	1,064,468	-	1,064,468	1,009,943
Other receivables & prepayments	476,211	(476,211)	-	-
Reinsurance contract assets	5,470,878	-	5,470,878	4,016,777
Insurance contract assets	-	-	-	-
Investments in Associates	-	-	-	-
Investment in subsidiaries	1,000,000	(1,000,000)	-	1,000,000
Investment properties	10,412,130	(4,162,130)	6,250,000	6,071,349
Property, Plant & Equipment	4,492,421	(4,492,421)	-	1,581,919
Statutory Deposits	2,535,150	-	2,535,150	535,150
Other asset - Intangible assets	164,283	(164,283)	-	-
Total assets	60,563,343	(10,921,377)	49,641,966	30,456,407
Liabilities				
Insurance contract liabilities	17,412,726	-	17,412,726	15,261,325
Other technical liabilities	1,520,229	-	1,520,229	1,329,669
Provision and other payables	1,072,114	-	1,072,114	1,066,694
Other financial liabilities	-	-	-	-
Tax payable	470,641	-	470,641	211,329
Other Liabilities - Deferred tax	901,994	-	901,994	-
Total	21,377,704	-	21,377,704	17,869,017
Available solvency margin			28,264,262	12,587,390
Minimum Capital required			25,000,000	5,000,000
Surplus solvency maring			3,264,262	
Level of Solvency			113%	252%